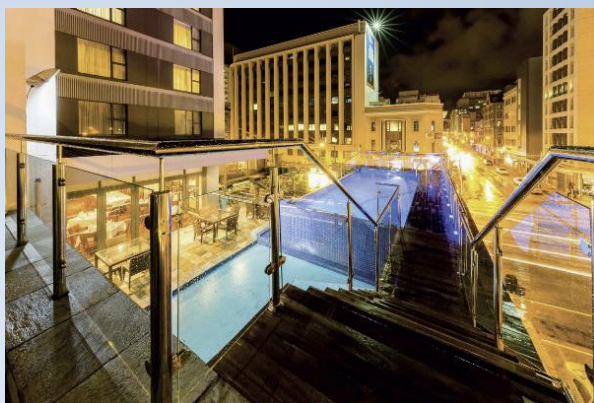




**AREIT PROP LIMITED
INTEGRATED ANNUAL REPORT
2022**



APPROVED AS A REIT IN TERMS OF THE JSE LISTINGS REQUIREMENTS



**AREIT PROP LIMITED
INTEGRATED ANNUAL REPORT**

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CHAIRMAN'S STATEMENT

Dear Shareholders

I am pleased to present to you the annual report for aReit Prop Limited ("aReit"), which has been a challenging yet successful year for us. Despite economic turbulence and various challenges that the REIT industry is facing, we have remained robust and focused on our strategies to grow and create value for our shareholders.

aReit has a differentiating REIT formula, which is one of a kind in South Africa. Our properties are separated from the leases and in essence we have created two different commercial silos. This protects shareholders against variable/installation costs associated with property ownership. aReit has no gearing and thus is not exposed to any interest rate related risk.

Over the past few months, we have engaged with potential vendors/landlords both locally and internationally to incorporate their properties into our unique REIT formula, focusing on structuring a conduit for market cap augmentation. We are in ongoing discussions with various potential blue-chip vendors. When fully implemented, our bullish expansion strategy can gradually transition aReit from a small cap to a multi-billion Rand entity since our model is focused on restructuring the traditional monetising foundation of properties through leasehold rights onto the JSE platform.

As a company, we have been working hard to identify and implement new growth strategies to navigate through the current market environment, which has become increasingly risk averse.

To stimulate share liquidity and enhance shareholder value, we have been implementing initiatives to increase the visibility of our company and improve trading volumes. We have been collaborating with brokers and investors to promote awareness of our shares and providing regular updates on our business performance to keep our shareholders informed and engaged.

We recognise the importance of creating synergy to maximize efficiency and share liquidity. To achieve this, we have been fostering collaborations with asset managers and other funds as well as creating a structure for "word of mouth" referrals or introductions from an investment perspective. We have engaged with a large number of funds and asset managers over the past year and constructed relationships with real intrinsic value which is expected to yield synergistic opportunities soon.

We have faced several challenges this year, including the economic turbulence caused by interest rate increases, the grey listing of South Africa, loadshedding and the general downturn of the investment landscape within the country. However, we have been able to manage the implications of these challenges through our resilience and determination, and by staying focused on our long-term goals.

Looking ahead, we remain committed to achieving our goals and delivering value to our shareholders. Our priorities for the coming year include expanding our market cap organically and to overcome our core challenge as a small cap listed entity, which is liquidity.

Despite the current market environment, we remain confident in our ability to generate sustainable returns for our shareholders, which we have achieved to date.

We have a strong balance sheet, a talented and dedicated workforce, and a deep commitment to our clients and our shareholders. We believe that these strengths will enable us to navigate through any challenges that we may face in the future.

In conclusion, I would like to thank our shareholders for their continued support and confidence in aReit. Also, I would like to extend gratitude to the funds and asset managers that can see our value as a model and who were willing to engage with us and provide us with constructive guidance. We remain committed to delivering long-term value to our shareholders, and we look forward to continuing to work together to achieve our shared goals.

A handwritten signature in black ink, consisting of a stylized 'J' and 'O' with a horizontal line through them.

JACQUES OSSE
CHAIRMAN



CHIEF EXECUTIVE OFFICER AND FINANCIAL DIRECTOR REPORT

Dear Shareholders

We are pleased to present the financial and operational results of our company for the year ended 31 December 2022. Our company has continued to perform well in a challenging economic environment and we are confident in our ability to sustain and exceed our growth trajectory in the years to come.



Risk as a Measure of Standard Deviation

Our leasehold rights remain for period of 39 more years therefore, our standard deviation can only be upward. We have managed to control our risks through upfront technical interaction and accounting treatment with the guidance of the JSE, AcaciaCap and W Consulting ahead of the listing due to the unique business model of aReit listing as a pure leasehold property listing on the JSE. As aReit, we are always in a profitable position as there is no possibility of trading losses going forward due to our fixed income model and having an additional variable upside with minimal operating costs makes our REIT one of the safest and most consistent REITs in South Africa. We note that the once-off loss in the prior period arose from listing costs that were borne by the controlling shareholder ahead of the listing on 1 March 2022.

Our tenants deal with loadshedding and operational issues, and the vendors and management mitigated social and economic risks by being flexible with pricing and products during 2020 when the national lockdowns were implemented, which enabled the vendors the ability to attract strong corporate tenants. These benefits have been passed on to aReit.

Gearing Options

The board has carefully reviewed our gearing options and have decided against introducing gearing into aReit. Our group does not need debt. Gearing would be a major negative factor, particularly in the current increasing interest rate environment as well as potentially negatively impacting the discount rate used for valuation purposes. We choose to remain steadfast to our unique REIT formula by staying firm to our business model when growing our leasehold REIT, as opposed to a traditional freehold REIT, as we will continue to protect our shareholders from risks associated with both gearing and ownership.

Positioned for Growth

In a time when many investments are yielding less than inflation or negative returns, we are pleased to have a product that continues to grow steadily. We are poised to increase our market capitalisation and to improve liquidity once the original vendors have sold a substantial number of shares during 2023, as currently the shares are too tightly held. We want to be in a position of having an established share price, a pool of strong tenants, and a number of solid investors, who understand the business model.

Our projections for the years to come continue to show an upward trend, with our standard deviation serving as a measure of our risk in relation to these projections. We are confident in our ability to manage these risks and deliver consistent returns to our shareholders.

During 2022 we were pleased to report boring, yet expected results, in line with the forecast contained in our Prospectus, with our minimum rental remaining predictably consistent.

As we look forward to the future, we are excited about the growth prospects for our company. Despite the challenging economic environment, we have maintained a consistent revenue stream due to our contracted minimum income, with our business model through the acquisition and cession agreements controlling our risks associated with the underlying properties and related obligations into the future.

In 2022 we have personally met with a large number of funds and prospective investors who, in the majority, love our leasehold business model once understood. On the whole, the prospective investors have been waiting for the first year's results and have their own processes to go through.

We have also met with several prospective property owners and tenants who wish to join aReit, but we have opted to remain steadfast in our goal to first make our shares liquid and then entertain growing our portfolio, and in turn the market cap of the Company.

Thank you to all our shareholders who have bought into aReit and we look forward to the exciting challenges and opportunities that the future holds for the Group.



MARIA ELISABETH JASPERS
CHIEF EXECUTIVE OFFICER



ABDUL HADI ISMAIL
FINANCIAL DIRECTOR



CURRICULA VITAE OF THE DIRECTORS

Maria Elisabeth Jaspers (47) (Group Chief Executive Officer and one of the founders)

Maria received her Bachelors' Degree in Business Administration from Hotel School in Maastricht, Netherlands in 1996 and thereafter travelled to Cape Town and began work as a trainee at the Tulip Hotel which traded at high occupancy where she gained practical experience in every aspect of the hotel trading industry. She then moved onto managing the Lindum Lodge in 1997 which soon after faced foreclosure due to the PAGAD bombs in 1998. Maria then returned to the Tulip Hotel where she undertook the financial and management responsibilities. Maria became a minority shareholder in The Lady Hamilton Hotel and partnered with Mr Jacques Osse in acquiring an old medical centre which was later converted into the Fountains Hotel. She later acquired a shareholding in New Line Investments as well. In 2017, Maria was instrumental in the conversion of the properties into internationally qualified branded and franchised properties, which have since traded successfully.

Jacques Marie Joseph Osse (68) (Non- Executive Chairman and one of the founders)

Born in the Netherlands, Jacques passed his Hoger Algemeen Voortgezet Onderwys ("HAVO") exams before completing his military service. He then moved to the United Kingdom where he graduated from Courtfield College with a Higher National Diploma in Hotel & Catering Administration. He was appointed Banqueting Director of the 4 red star Selsdon Park Hotel in 1978 and thereafter joined Cresta Hotels in 1981 as the Project Director where he performed hotel budgeting for four hotels and travelled to Mozambique to develop the Dom Carlos Hotel project in Beira. Jacques took up an offer to join the Burgers Park Hotel as deputy general manager where he generated working capital within the first year in order to finance the refurbishing of the hotel. He later joined the Protea Hotel Group where he developed the self-catering management arm "Places quality self-catering" and subsequently decided to become an entrepreneur in 1993. In 1993 Jacques leased the Skyway Hotel and converted it into the Tulip Inn Hotel in Cape Town. The business was unfortunately negatively impacted by the bombings by PAGAD in 1998, which resulted in Jacques being sequestered but subsequently successfully rehabilitated in 2005. In 2002, he formed a partnership with Mr. Rob Barnett-Harris where they acquired The Lady Hamilton Hotel in Cape Town. In 2005 they purchased an old medical centre on Adderley Street and converted it into the Fountains Hotel in Cape Town and in 2009 they also bought the Strand Tower building and converted it into the Strand Tower Hotel in Cape Town. The partnership was amicably dissolved when Jacques bought out Mr Barnett-Harris in 2014. The hotels acquired were all subsequently internationally rebranded until the 2020 pandemic.

Abdul Ismail (37) (Financial Director)

Upon receiving his degree in Financial Information Systems at Cape Peninsula University of Technology in 2004, Abdul completed his financial information systems articles at HS Accounting, where he also gained knowledge and experience with IFRS. He then studied a BCom in Accounting at the University of the Western Cape from 2004 until completion after three years at the end of 2007. Thereafter he was employed by the Leisure Hotel Holdings Group in December 2007 as the accountant, then financial manager and later financial director. He worked closely with the Groups Bankers where he gained further experience in commercial banking and corporate investment banking.

In 2017, Abdul became the commercial and financial director of Leisure Hotel Holdings (Pty) Limited where he developed the Holiday Inn Cape Town and Best Western Fountains Hotel as an international brand. During the COVID-19 pandemic, Abdul experienced the risk in the industry and went through a process of de-branding the hotels to reduce costs, and took steps to successfully avert the possible closure of the hotels, ensuring the ongoing survival of the hotels.

Stuart Chase (61) (Independent Non-Executive Director)

Born in Zimbabwe, Stuart grew up in the United Kingdom graduating from the University of Surrey with a B.Sc. (Hons) degree in Hotel and Catering Administration in 1982 which included training at the prestigious Hilton on Park Lane in London. Thereafter he returned to Southern Africa to join Southern Suns Hotels before taking on his first General Manager position with the Boulevard Hotel Group. In 1988, he became the youngest General Manager of a five-star hotel in South Africa with the opening of the Lord Charles Hotel in Somerset West. From 1994 onwards, his career has largely been spent overseas as a General Manager in the luxury hotel segment spending time in Zimbabwe, Ghana, China, Bahrain, and Turkey with some of the world's leading brands including Shangri-la Hotels and Resorts, Swissotel Hotels and Resorts and Movenpick Hotels and Resorts. He has been involved as General Manager in the successful openings of four luxury Hotels with his last assignment being as General Manager of the flagship Movenpick Ambassador Hotel in Accra, Ghana. Moving back to South Africa in 2013, he was appointed Managing Partner for Africa and the Middle East for the Manhattan Group, one of the world's leading hospitality Executive Search companies based in Australia. He has also consulted to various local hotels in the Western Cape region.

Fatima Noordien (38) (Independent Non-Executive Director)

Fatima graduated with a BCom degree in Accounting from the University of South Africa and is currently a member of the South African Institute of Chartered Accountants ("SAICA"). With a strong background in Auditing and Assurance as well as Finance Management, Fatima was the former Head of Finance with the Institute of Certified Bookkeepers and registered accountants with SAICA. Fatima joined the Graduated Group in 2016 and spent four years as Head of Finance. She is currently a Senior accountant and auditor and also owns a business called Fortis Accountants Pty Limited. Fatima has a history of working in various service industries and is strongly skilled in inter alia Financial Management, Financial Accounting, Auditing and Assurance. Fatima is the chairman of the Audit and Risk Committee.

Jason Kruger (36) (Independent Non-Executive Director)

Jason graduated from the University of Stellenbosch with a BCom degree majoring in investment and financial management.

Jason has a collective experience of 12 years within the hospitality, financial and telecommunications industries as a project/sales/account manager. He currently serves as the Chairman of the Cape Chamber of Commerce and Industry, Tygerberg Chapter, a position he has held for the past year, having served as the Chapter Vice Chair for the previous three years.

Jason's core focus with aReit involves input on strategic planning and marketing.



SOCIAL AND ETHICS COMMITTEE REPORT

Background

aReit's Social and Ethics Committee ("**the Committee**") is a statutory committee which assists the Board of Directors ("**the Board**") in monitoring the group's corporate citizenship, sustainability and ethics.

aReit values its reputation and is committed to maintaining the highest level of ethical standards in the conduct of its business

affairs. The actions and conduct of the Company's employees as well its other representatives remain key to maintaining these standards. To this end, and in accordance with Section 72(4) of the Companies Act (No. 71 of 2008), as amended ("**the Act**"), Section 43(2) and (5) of the Companies Regulations and the King Report on Corporate Governance 2016 ("**King IV**"), the Committee was established by the Board to consider and monitor the moral and ethical conscience of aReit.

This report is presented in accordance with the requirements of the Act and forms part of the Integrated Annual Report.

Role of the committee

The Committee acts in terms of the delegated authority of the Board and assists the Directors in monitoring the group's activities and disclosures in terms of legislation, regulation and codes of best practices relating to:

- ethics;
- good corporate citizenship;
- social and economic development;
- sustainable development and sustainability;
- stakeholder engagement, including employees, customers, suppliers, communities and the environment; and
- strategic empowerment and transformation.

The Committee performs an oversight, monitoring and reporting role to ensure that the Company's business is conducted in an ethical and properly governed manner and to develop and review policies, governance structures and existing practices which guide the Company's approach to new and emerging challenges.

The Committee has developed a Code of Ethics ("**the Code**") that reflects the Company's core values and also embraces the principles as set out in King IV, where applicable.

The Code, which is designed to ensure the effective management of ethics, commits all Directors, employees, contractors and other representatives of the Company to the highest ethical standards of conduct and amongst others regulates aspects of confidentiality, non-discrimination and the acceptance of gifts and bribes.

Responsibilities of the Committee

The responsibilities of the Committee are as follows:

- monitor activities relating to social and economic development, good corporate citizenship, the environment, health and public safety and consumer relationships;
- monitor the impact of the Company's activities, products or services on communities;
- monitor progress on strategic empowerment and performance against targets;
- monitor changes in the application and interpretation of empowerment charters and codes;
- monitor functions required in terms of the Act and its regulations.

Composition and functioning

During the year under review, the Social and Ethics Committee comprised Theo Nel, Fatima Noordien, Abdul Ismail and Maria Elisabeth Jaspers. Theo Nel resigned as a director and committee member on 28 February 2022. The Committee is responsible for performing the functions required of it in terms of the Companies Act and such other functions contemplated in its terms of reference.

The role of the Social and Ethics Committee is, inter alia, to monitor the Company's activities, having regard to any relevant legislation, other legal requirements or prevailing codes of best practice, with regard to matters relating to social and economic development, good corporate citizenship, the environment, health and public safety, consumer relationships, and labour and employment matters.

As aReit was newly incorporated and listed, with limited operations, the first meeting of the members of the Social and Ethics Committee was held subsequent to the year end.

The committee has considered the various requirements as prescribed by the Companies Regulations and the Companies Act and there are no instances of material non-compliance to disclose. It is noted that the operations of the Company are limited, with no employees other than the executive directors.

Activities of the committee

The responsibilities and functions of the Committee, which are aligned with the Committee's statutory functions as set out in the Act, will form the basis of the work plan for 2023, which also needs to be fit for purpose, given the limited nature of the Company and its operations.

The activities are as follows:

To monitor the Company's activities, having regard to any relevant legislation, other legal requirements or prevailing codes of best practice, with regard to matters relating to:

- Social and economic development, including the Company's standing in terms of the goals and purposes of:
 - (aa) the 10 principles set out in the United Nations Global Compact Principles ("UNGCP");
 - (bb) the Organisation for Economic Co-operation and Development ("OECD") recommendations regarding corruption;
 - (cc) the Employment Equity Act (No. 55 of 1988); and
 - (dd) the Broad-Based Black Economic Empowerment Act (No. 53 of 2003), as amended.
- Good corporate citizenship, including the Company's:
 - (aa) promotion of equality, prevention of unfair discrimination, and reduction of corruption;
 - (bb) contribution to development of the communities in which its activities are predominantly conducted or within which its products or services are predominantly marketed; and
 - (cc) record of sponsorship, donations and charitable giving.
- The environment, health and public safety, including the impact of the Company's activities and of its products or services.
- Consumer relationships, including the Company's advertising, public relations and compliance with consumer protection laws; and
- Labour and employment, including:
 - (aa) the Company's standing in terms of the International Labour Organization Protocol on decent work and working conditions;
 - (bb) the Company's employment relationships and its contribution toward the educational development of its employees;
 - (cc) to draw matters within its mandate to the attention of the Board as occasion requires; and
 - (dd) to report, through one of its members, to shareholders at the Company's annual general meeting on the matters within its mandate.

During the year under review, there were limited implications of the above requirements for aReit.

aReit has adhered to the following matters, as mentioned above, with formal policies being implemented to address these, where applicable, noting the limited operations: -

- **Social and economic development.** aReit adheres to the principles set out in the UNGCP and the OECD recommendations on corruption. aReit meets the labour law requirements of the Employment Equity Act (No. 55 of 1988) and has formal policies on bribery and corruption and protected disclosures.
- **Good corporate citizenship.** aReit subscribes to the provisions of the Promotion of Equality and Prevention of Unfair Discrimination Act. No incidents have been reported.
- **The environment, health and public safety.** aReit subscribes to and is compliant with the Occupational Health and Safety Act. No incidents have been reported during the period.
- **Consumer relations.** aReit subscribes to and is compliant with the Consumer Protection Act (No. 68 of 2008). No incidents have been reported.
- **PAIA.** aReit is compliant with the requirements of the Promotion of Access to Information Act (No. 2 of 2000). No requests for information were received during the year under review.
- **Protection of Personal Information.** aReit subscribes to and is compliant with the Protection of Personal Information Act (No. 4 of 2013). No incidents have been reported.
- **Labour and employment.** aReit supports and adheres to the terms of the International Labour Organisation Protocol. aReit is compliant with the following acts:
 - Basic Conditions of Employment Act (No. 75 of 1997);
 - Labour Relations Act (No. 66 of 1995);
 - Skills and Development Levies Act (No. 9 of 1999); and
 - the Unemployment Insurance Act (No. 63 of 2001).

The Company is compliant with the financial reporting requirements in accordance with the timeframes set out in the Companies Act and the JSE Listings Requirements.

Public reporting and assurance

The Committee, together with the Audit and Risk Committee, is responsible for reviewing and approving the sustainability content included in the Corporate Governance Report contained in the Integrated Annual Report and published on the Company's website, as well as determining and making recommendations regarding the need for external assurance of the group's public reporting on its sustainable performance. The Committee is of the view that, given the nature and size of the Company, external assurance is not required at present.

The Committee is also required to report through one of its members to the Company's shareholders on the matters within its mandate at the Company's Annual General Meeting to be held on Monday, 19 June 2023. The Committee has elected to provide this written report to be included in the Integrated Annual Report as opposed to reporting verbally at the Annual General Meeting.

In the notice of the Annual General Meeting included in the Integrated Annual Report, shareholders are referred to this report by the Committee. Any specific questions to the Committee may be sent to the Company Secretary prior to the meeting.

Conclusion

No substantive non-compliance with legislation or regulation, or non-adherence with codes of best practice, relevant to the areas within the Committee's mandate, has been brought to its attention. The Committee has no reason to believe that any such non-compliance or non-adherence has occurred during the year under review. Furthermore, the Committee is satisfied that it has operated in terms of its Board-approved Charter.



MARIA ELISABETH JASPERS
CHAIRMAN OF THE SOCIAL AND ETHICS COMMITTEE

EMPLOYMENT EQUITY REPORT

Total number of employees (including employees with disabilities) in each of the following occupational levels as at 31 December 2022:



Note:

A=Africans

C=Coloureds

I=Indians

W=Whites

Occupational Levels	Male				Female				Foreign Nationals		Total
	A	C	I	W	A	C	I	W	Male	Female	
Top management			1					1			2
Senior management											
Professionally qualified and experienced specialists and mid-management											
Skilled technical and academically qualified workers, junior management, supervisors, foremen, and superintendents											
Semi-skilled and discretionary decision making											
Unskilled and defined decision making											
TOTAL PERMANENT			1					1			2
Temporary employees											
GRAND TOTAL			1					1			2

Total number of employees for people with disabilities ONLY in each of the following occupational levels.

Note:

A=Africans

C=Coloureds

I=Indians

W=Whites

Occupational Levels	Male				Female				Foreign Nationals		Total
	A	C	I	W	A	C	I	W	Male	Female	
Top management											
Senior management											
Professionally qualified and experienced specialists and mid-management											
Skilled technical and academically qualified workers, junior management, supervisors, foremen, and superintendents											
Semi-skilled and discretionary decision making											
Unskilled and defined decision making											
TOTAL PERMANENT											
Temporary employees											
GRAND TOTAL											

CORPORATE GOVERNANCE REPORT

The Board of Directors of aReit ("the Board") is committed to the adherence and application of the highest levels of corporate governance and accepts responsibility to conduct the affairs of aReit with integrity and accountability in accordance with generally accepted corporate governance practices. The Board has established procedures and policies, which are reviewed from time to time, appropriate to aReit's business and in keeping with its commitment to best practices in corporate governance.

Directors

The Board

The Board acts as the focal point for, and custodian of, corporate governance by managing its relationship with management, shareholders and other stakeholders of the Company based on sound corporate governance principles. The Board's responsibilities include, amongst others, reviewing and guiding corporate strategy, management of risk, approval of budgets and results and ensuring that the Company's ethics are managed effectively. Furthermore, the Board appreciates that strategy, risk, performance and sustainability are inseparable.



Regular Board meetings regulate the affairs of aReit and executive management. The Board normally meets at least once a quarter and additional Board meetings are held if and when necessary.

In addition to monitoring the performance of the Company from a quantitative perspective, the Board considers qualitative matters such as sustainability and ensuring that the Company acts a responsible corporate citizen with respect to all its operations.

Details of the Board meetings held and members' attendance for the year under review and to the date of this Integrated Annual Report are as follows:

Attendance at meetings	7/02/22	28/02/22	12/04/22	21/07/22	27/10/22
Fatima Noordien	√	√	√	√	√
Stuart Chase	√	√	√	√	√
Theo Nel	√	√	R	R	R
Abdul Ismail	√	√	√	√	√
Jacques Osse	√	√	√	√	√
Mania Jaspers	√	√	√	√	√
Jason Kruger	N/A	N/A	√	√	√

√ = Indicates attendance

R = Resigned 28 February 2022

A formal record is kept of all conclusions reached by the Board on matters referred to it for discussion. Should the Board require independent professional advice; procedures have been put in place by the Board for such advice to be sought at the Company's expense.

All Directors have access to the advice and services of Light Consulting Proprietary Limited ("Light Consulting" or "the Company Secretary"), which fulfils the role of company secretary on an arm's length basis. The Board is of the opinion that the Company Secretary has the requisite attributes, experience and qualifications to fulfil its commitments effectively. This assessment is based on the experience and qualifications of the Company Secretary, as well as the fact that the Company Secretary is familiar with the Company. The appointment or dismissal of the Company Secretary shall be decided by the Board as a whole and not one individual director.

Directors are expected to maintain their independence when deciding on matters relating to strategy, performance, resources and standards of conduct. On first appointment, all Directors are expected to undergo appropriate training as to the Company's business, strategic plans and objectives, and other relevant laws and regulations.

Directors are kept up to date on an on-going basis in the various committee and Board meetings to ensure that they remain abreast of changes in regulations and the commercial environment. The Board is responsible for relations with stakeholders, as well as being accountable to them for the performance of the Company and reporting thereon in a timely and transparent manner.

Chairman and Chief Executive Officer

The offices of Chairman and Chief Executive Officer ("CEO") are fulfilled by two different persons, in order to ensure a balance of power and authority and that no one person has unfettered decision making powers. The roles of chairperson, being Jacques Marie Joseph Osse, and CEO, being Maria Elisabeth ("Manja") Jaspers, are therefore separated, with the chairman being a non-executive director. Where there is a matter involving the Chairman, the Chairman of the Audit Committee will act as a lead independent director.

Board balance

At Board level, there is a balance of power to ensure that no one director has unfettered power in decision making. The Board includes both executive and non-executive Directors. As at the date of this report, the Board comprises of two executive Directors and four non-executive Directors, three of whom are independent at the date of issue of this Annual Report.

Supply of information

Each director is permitted, and is expected, to play an active and constructive role in the Board's affairs. The Directors are well briefed in respect of special business prior to Board meetings and information is provided timeously to enable them to fulfil their duties and to give full consideration to all the issues being dealt with before making a decision. Directors have unrestricted access to management, all company information, records, documents and property. The Board's information needs are well defined and regularly monitored.

Delegation of duties

While retaining overall accountability and subject to matters reserved to itself, the Board has delegated authority to the CEO and FD to run the day-to-day affairs of the Company, subject to a delegation of authority framework which contributes to the effective discharge of the Board's fiduciary duty. The Board approves and reviews the delegation of authority framework, normally every two years. In instances where delegation has taken place to management or committees, preapproved materiality levels and terms of references apply, respectively.

Appointments to the Board

Any member of the Board may nominate a new appointment to the Board, which will be considered by the Board as a whole. The nominated director's expertise and experience, as well as the Board's specific needs, are considered by the Board when making an appointment. In accordance with the JSE Listings Requirements, a nomination committee is not required. Furthermore, the current size of the Company does not warrant the establishment of a nomination committee at this time.

The Board has the power from time to time to appoint any suitable candidate as a director, either to fill a vacancy, or as an additional director. The Company's Memorandum of Incorporation ("**MOI**") does not provide for a maximum number of Directors. Any interim appointments are subject to approval at the Company's next general or annual general meeting.

Accountability and audit

Incorporation

The Company is duly incorporated in South Africa and operates in conformity with its MOI and all laws of South Africa.

Financial reporting

The Board is responsible for the Company's systems of internal financial and operational control, as well as for maintaining an appropriate relationship with the Company's external auditors. The Board is responsible for presenting a balanced and understandable assessment of the Company's financial position with respect to all financial and price sensitive reports on the Company.

Internal Control

The Directors conduct an annual review of the Company's internal controls and report their findings to shareholders. This review covers financial, operational and compliance controls, as well as a review of the risk management policies and procedures of the Company. The internal controls are currently considered adequate, given the Company's size and simple nature of operations. Nothing has come to the attention of the Board to indicate that any material breakdowns occurred in the functioning of the Company's internal controls, procedures and systems during the year under review.

Audit and Risk Committee

A combined Audit and Risk Committee has been established, which primary objective is to provide the Board with additional assurance regarding the efficacy and reliability of the financial information used by the Directors to assist them in discharging their fiduciary duties. The Audit and Risk Committee is required to provide comfort to the Board that adequate and appropriate financial and operating controls are in place, that significant business, financial and other risks have been identified and are being suitably managed, that the financial director has the appropriate expertise and experience and that satisfactory standards of governance, reporting and compliance are in operation. The Audit and Risk Committee has set the principles for recommending the use of the external auditors for non-audit services.

The Audit and Risk Committee operates under an approved charter and in terms of the Companies Act, 71 of 2008 ("**the Act**").

The following independent non-executive Directors constitute the combined Audit and Risk Committee for the year under review and to the date of this Integrated Annual Report:

- Fatima Noordien (Chairman);
- Theo Nel (resigned 28 February 2022);
- Stuart Chase; and
- Jason Kruger (appointed 7 April 2022).

The Audit and Risk Committee has considered and confirmed the experience and expertise of the financial director, Abdul Ismail, and the finance function and has reported on this in the Report of the Audit and Risk Committee contained in this Integrated Annual Report. It was noted that the financial director required support in terms of IFRS and the preparation of the Annual Financial Statements, it being the first year of reporting as a listed entity.

The Audit and Risk Committee has met four times during the year under review and two times thereafter to the date of issue of this Annual Report as detailed below:

Attendance at meetings	28/02/22	12/04/22	21/07/22	27/10/22
F Noordien	√	√	√	√
S Chase	√	√	√	√
T Nel	√	N/A	N/A	N/A
J Kruger	N/A	√	√	√
A Ismail#	√	√	√	√
J Osse#	√	√	√	√
M Jaspers#	√	√	√	√

√ = Present

= By invitation

The Report of the Audit and Risk Committee is included in this Integrated Annual Report.

External auditors

Mazars has been appointed as the first auditors to the Company. The annual financial statements are prepared in accordance with the International Financial Reporting Standards, the Companies Act, the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council and the JSE Listings Requirements. Interim reports were not audited or reviewed.

Code of ethics

aReit subscribes to the highest ethical standards and behaviour in the conduct of its business activities. All Directors, employees, contractors and other representatives of the Company are required to comply with this Code in ensuring that the Company's business practices are conducted in a manner that is above reproach in all circumstances.

Social and Ethics Committee

The following Directors were appointed to the Social and Ethics Committee during the year under review:

- M Jaspers (Chairman)
- T Nel (resigned 28 February 2022);
- F Noordien; and
- A Ismail.

The Social and Ethics Committee did not meet during the year under review due to the limited operations of the Company. The first meeting was held during March 2023. Meetings will be held at least twice per year going forward.

The Report of the Social and Ethics Committee, which includes a summary of the Social and Ethics Committee's mandate, is included in this Integrated Annual Report.

Remuneration Committee

A Remuneration Committee has been established by the Board. The following Directors were appointed to the Remuneration Committee:

- S Chase (Chairman);
- T Nel (resigned 28 February 2022);
- J Osse; and
- F Noordien.

The Remuneration Committee has an independent role, operating as an overseer and a maker of recommendations to the Board for its consideration and final approval. The role of the Remuneration Committee is to assist the Board to ensure that the Company remunerates Directors and executives fairly and responsibly, and that the disclosure of director and executive remuneration is accurate, complete and transparent.

The Remuneration Committee did not meet during the year under review due to the limited operations of the Company and no increases in remuneration for the two executive directors in line with the profit forecast contained in the Prospectus. The Remuneration Committee will meet on an ad-hoc basis when the need arises.

Financial Director

Mr A Ismail is the inaugural financial Director of aReit, having formerly been the financial manager of the underlying hotel operations conducted in the three leasehold properties acquired. He has in depth knowledge of the properties and the various stakeholders, having been integrally involved in the securing of the various tenants.

Relations with shareholders

Shareholders are supplied with all the necessary information in order that they may make considered use of their votes and assess the corporate governance of the Company. The Chairman and executive directors regularly engage with other potential shareholders in an effort to improve the awareness of aReit as well as the share liquidity. Formal results presentations may be considered in due course as the Company grows and the shareholder base expands.

Dealing in securities

The Board has established procedures and policies based on legislation which regulates insider trading, in terms of which a closed period commences from the date of the Company's financial year-end until the earliest publication of the preliminary report, the abridged report or the provisional report in the case of results for a full period and from the date of the interim period end to the date of the publication of the first and second interim results, as the case may be, which periods are known as "closed periods". Neither any director nor the Company Secretary is permitted to deal in the securities of the Company during a closed or prohibited period, or during a period in which the Company is trading under a cautionary.

The Company does not have any prescribed officers.

The Company Secretary or such person as may be nominated by it from time to time keeps a record of all dealings in the securities of the Company.

Company Secretary

The Company has appointed Light Consulting Proprietary Limited to act as the Company Secretary. An independent and arm's-length relationship exists due to the fact that Light Consulting provides outsourced company secretarial services and is not a director or shareholder in aReit. The professionalism and independence of Light Consulting will thus be maintained.

The Board has considered and has satisfied itself with regard to the competence, qualifications and experience of the Company Secretary. In considering this assessment, the Board considered the experience and qualifications of the employees and associated personnel of the Company Secretary. The Directors assess the on-going competency of the Company Secretary on an annual basis and in compliance with section 3.84(h) of the JSE Listings Requirements.

Promotion of Diversity

In terms of paragraph 3.84(i) and (j) of the JSE Listings Requirements, as well the practices recommended by King IV, the Board is required to have a policy on the promotion of diversity at Board level.

The Board recognises the need for gender, race, disability, cultural, age, experience and other diversification and has embraced race diversification from the date of listing, with two of its six directors being people of colour and two of its directors being female.

A policy has been agreed that, for future Board appointments, youth, experience, female, black, or disabled candidates will be preferred where qualifications and/or experience are equal. The next appointment will probably be focused on a Chartered Accountant to further strengthen the Audit Committee.

Material risk factors

Up to the date of issue of this Annual Report, there were no overriding material risks facing the Company. Identified risks were set out in Annexure 19 of the Prospectus issued by the Company ahead of the Company's listing on 1 March 2022. None of the identified risks have materialised.

APPLICATION OF KING IV PRINCIPLES FOR THE YEAR ENDED 31 DECEMBER 2022

aReit endorses the governance outcomes, principles and recommended practices contained in the King Report on Corporate Governance™ 2016 ("King IV" or "King Code"), which was published on 1 November 2016 and came into effect for companies listed on the JSE Limited ("JSE") on 1 October 2017. Copyright and trademarks are owned by the Institute of Directors in South Africa NPC and all of its rights are reserved.

The Board of Directors, which constitutes the governing body of the Company ("Board"), satisfied itself that aReit has substantially applied the applicable principles set out in King IV, together with the mandatory corporate governance requirements set out in 3.84 of the Listings Requirements of the JSE, as for the year ended 31 December 2022.

King IV advocates an outcomes-based approach towards the achievement of four governance outcomes. A summary of the King IV principles implemented by the Company in meeting those outcomes is set out below. While recommended practices were applied where and to the extent applicable to the business, further enhancements will be made over time in line with the Company's aspirations to continuously improve its corporate governance practices.

It is noted that Principle 17 applies to institutional investors only and therefore does not apply to the Company.

The 16 King IV Principles and the extent of the Company's compliance are set out in the table below:

Principle	Description	Compliance status	Extent of compliance
1	The Board as the governing body should lead ethically and effectively	Comply	The Company is newly listed, with the first year of operations ended 31 December 2022. The Board has taken cognisance of the approach contained in both the Companies Act and King IV that the Company has a role to play in society and has an obligation to conduct itself as a responsible corporate citizen. The Company is committed to ethical behaviour throughout its business, adopting the principles of integrity, competence, responsibility, accountability, fairness and transparency in order to offer effective leadership that achieves the Company's strategic objectives and positive outcomes over time. The Board has ensured that the Company's leadership operated in an ethical manner in accordance with a Code of Ethics for the Group.
2	The governing body should govern the ethics of the organisation in a way that supports the establishment of an ethical culture.	Comply	The Board supports an ethical culture throughout the Group and the Directors recognise that they are ultimately responsible for the governance of ethics within the Company and for setting the direction for how ethics are approached and addressed. The Directors further recognise that it is their role to set the tone for an ethical organisational culture where the above characteristics are cultivated across the business and adopted by all employees. It is noted that, due to the nature of the business, other than the executive directors, there are no employees. For this purpose, the Company has adopted a Code of Ethics that provides for arrangements that familiarise stakeholders with the Company's ethical standards to ensure that the Company maintains the highest ethical standard and complies with all applicable legislation, rules, and regulations.
3	The governing body should ensure that the organisation is and is seen to be a responsible corporate citizen.	Comply	The Board recognises that the Company is an integral part of the communities in which it operates and is committed to building sound relationships, based on trust, honesty, and fairness. The Board sets the direction for good corporate citizenship, including compliance with the laws of South Africa, leading standards, its own policies and procedures, as well as congruence with the Company's purpose, strategy and conduct. The Board furthermore oversees and monitors the Company's status as a good corporate citizen in such areas as the workplace, economic behaviours and results, societal and environmental short and long-term impacts. The concept of responsible corporate citizenship is integrated into the group strategy, and its principles underpin all key aspects of the business.

Principle	Description	Compliance status	Extent of compliance
4	The governing body should appreciate that the organisation's core purpose, its risks and opportunities, strategy, business model, performance and sustainable development are all inseparable elements of the value creation process.	Comply	The Board assumes responsibility for the Group's performance by steering the strategy and setting its core purpose and values. The formulation and development of the Group's strategy is delegated to management, but the strategy is constructively challenged by the Board with due reference to, inter alia, risks and opportunities, resources, the legitimate expectations of shareholders and the long-term sustainability of the organisation.
5	The governing body should ensure that reports issued by the organisation enable stakeholders to make informed assessments of the organisation's performance and its short, medium and long-term prospects.	Comply	The Board takes responsibility for setting the direction, approach and conduct for the Company's reporting and approves the reporting frameworks to be used. It furthermore oversees compliance with legal reporting requirements and aims to ensure that reports meet the reasonable and legitimate needs of material stakeholders to enable them to make informed assessments of the Company's performance and its short, medium and long-term prospects.
6	The governing body should serve as the focal point and custodian of corporate governance in the organisation.	Comply	The Board exercises its leadership role by: - steering the organisation and setting its strategic direction; - approving policy and planning that gives effect to the direction provided; - overseeing and monitoring implementation and execution by management; and - ensuring accountability for organisational performance by means of, amongst others, reporting and disclosure.
7	The governing body should comprise the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance role and responsibilities objectively and effectively	Comply	All Directors have the requisite skills and knowledge from diverse backgrounds. The Board comprises four non-executive Directors, three of whom are independent. There are two executive Directors, being the Chief Executive Officer and the Financial Director, ensuring multiple points of direct interaction with management. The lead independent non-executive Director leads the Board in the objective and effective discharge of its governance roles and responsibilities. The Board will at all times maintain an appropriate balance of power, skills and experience (including business, commercial and industry experience), diversity and independence to objectively and effectively discharge its governance role and responsibilities.

Principle	Description	Compliance status	Extent of compliance
			The Company supports the principles of broader diversity, specifically focusing on the promotion of the diversity attributes of race, gender, culture, age, field of knowledge, skills and experience at Board level. No voluntary targets have been set. However, diversity was specifically considered when appointing the Board ahead of listing. An extract from the policy is set out below: The Board decided: - not to set voluntary targets in respect of Non-Executive Directors, but rather to endeavour to use every reasonable opportunity that avails itself (usually as a result of a vacancy arising on the Board) to improve overall diversity of Non-Executive Directors. This process will focus on increasing representation of females, Black People and disabled people in respect of the appointment of Non-executive Directors, but will also take into consideration culture (ethnicity), age, field of knowledge, skill and experience, with an ultimate goal of a broadly diversified base of Non-Executive Directors that best meets the needs and requirements of the Company; and - in respect of Executive Directors, to ensure that the Company is working towards, using every available opportunity (usually when a vacancy arises) and making reasonable progress in respect of, achieving goals as agreed to by the Board in respect of the Company. In doing so, the Board will also ensure that attributes of culture, ethnicity, age, field of knowledge, skill and experience are taken into consideration when appointing Executive Directors. <i>Nomination, election and appointment of Directors</i> Directors are appointed by the Board or at the Company's annual general meeting ("AGM"), with Board appointed Directors requiring re-appointment by Shareholders at the Company's next AGM. The longest serving third of the Non-Executive Directors must be reappointed by Shareholders annually. Board appointments are conducted in a formal and transparent manner by the entire Board. <i>Independence and conflicts</i> Directors are required to declare whether any of them has any conflict of interest in respect of any matter on the agenda of any meeting of the Board or Board committee. Conflicts of interest are managed as set out under Principle 1 above.

Principle	Description	Compliance status	Extent of compliance
8	The governing body should ensure that its arrangements for delegation within its own structures promote independent judgement and assist with balance of power and the effective discharge of its duties.	Comply	The independent Directors have been appointed to ensure that a greater level of independence is maintained in all business matters of the Board. In addition, the role of the Chief Executive Officer and Chairman are separated to ensure a balance of power and effective discharge of duties. The Board has delegated particular roles and responsibilities to the committees set out above, each of which has the collective knowledge, skills, experience and capacity to execute its duties effectively. Such delegation is subject to formal terms of reference that are approved and renewed from time to time by the Board. The delegation by the Board of its responsibilities to any committee does not by or of itself constitute a discharge of the Board's accountability, and the Board will continue to apply its collective mind to the information, opinions, recommendations, reports and statements presented by any committee or director.
9	The governing body should ensure that the evaluation of its own performance and that of its committees, its chair and its individual members, support continued improvement in its performance and effectiveness	Comply	The Board is responsible for evaluating its own performance, that of its committees, chair and individual members, and determines how such evaluation is to be approached and conducted in terms of a formal process undertaken at least every two years where performance is considered, reflected on and discussed so as to ensure that performance and effectiveness is always improving.
10	The governing body should ensure that the appointment of, and delegation to, management contribute to role clarity and the effective exercise of authority and responsibilities.	Comply	Employment agreements have been entered into with the Executive Directors. The agreements set out roles and responsibilities and the effective exercise of authority by each executive Director. The Board has furthermore satisfied itself that key management functions are led by competent and appropriately authorised individuals and are adequately resourced. The Board will in due course ensure that an adequate succession plan is developed and approved. The Chief Executive Officer is responsible for leading the implementation and execution of the Company's approved strategy, policy and operational planning, and serves as a link between management and the Board. The Chief Executive Officer is accountable and reports to the Board. The Board has access to professional and independent guidance on corporate governance and its legal duties, as well as support to coordinate the functioning of the Board and its committees.

Principle	Description	Compliance status	Extent of compliance
			All Directors have access to the advice of the company secretary, who is not a member of the Board, and who provides guidance to the Board and to individual members regarding how to properly discharge their responsibilities. The Board has considered and endorsed the company secretary's ability to perform her duties, including her qualifications, experience, competence, effectiveness, and objectivity, and will continue to do so on an annual basis. The company secretary reports to management on all duties performed and administrative matters. The direction and parameters for the powers of the Board, and those delegated to management via the Chief Executive Officer, including a delegation of authority framework that contributes to role clarity and the effective exercise of authority and responsibilities, are set out in a Board charter. The Board is responsible for ensuring that key management functions are headed by an individual with the necessary competence and authority and adequately resourced.
11	The governing body should govern risk in a way that supports the organisation in setting and achieving its strategic objectives.	Partially comply	The Company treats risk as integral to the way it makes decisions and executes its duties. The Company's risk governance encompasses both the opportunities and associated risks in developing strategy and the potential positive and negative effects of such risks on the achievement of its organisational objectives. While the Board exercises ongoing oversight of risk management, the Company's risk governance function is delegated to the Audit and Risk Committee in accordance with its the terms of reference, with the responsibility for implementing and executing effective risk management delegated to management. Identified risks were disclosed in the Prospectus issued by the Company ahead of its listing in 2022. None of the identified risks has materialized and no new emerging risks have been identified.
12	The governing body should govern technology and information in a way that supports the organisation setting and achieving its strategic objectives.	Partly comply	The Board sets the approach and approve the policy for technology and information governance, including adoption of appropriate frameworks and standards, but the implementation of effective IT governance is delegated to management. The Board is aware of the importance of technology and information in relation to the Group's strategy. However, the simple nature of the operations does not require extensive systems or monitoring. The Board, together with the Audit and Risk Committee, oversees the governance of information technology.

Principle	Description	Compliance status	Extent of compliance
			It is confirmed that processes exist ensuring timely, relevant, accurate and accessible reporting, communication and data storage.
13	The governing body should govern compliance with applicable laws and adopted, non-binding rules, codes and standards in a way that supports the organisation being ethical and a good corporate citizen.	Comply	The Company is governed by the Companies Act and the JSE Listings Requirements. The Board is not aware of non-compliance with any laws that the Company is required to comply with from time to time. Where the Company incurs material or repeated regulatory penalties, sanctions or fines for contraventions of, or non-compliance with, statutory obligations, this will be disclosed to Shareholders. There were no such incidences during the year under review.
14	The governing body should ensure that the organisation remunerates fairly, responsibly and transparently so as to promote the achievement of strategic objectives and positive outcomes in the short, medium and long term.	Comply	The Company has a basic remuneration policy in place to ensure that management is appropriately remunerated and the Board has considered remuneration trends. However, the limited operations and time required is a factor of the remuneration. The Board will continue to assess market trends in remuneration and adjust the Company's remuneration policy. The policy and the implementation thereof will be tabled as a non-binding advisory vote for shareholder approval at annual general meetings of the Company to ensure further transparency. In the event that either the remuneration policy or the implementation report, or both are voted against by shareholders exercising 25% or more of the voting rights exercised, the Company will provide in its voting results announcement for: (a) an invitation to dissenting shareholders to engage with the issuer; and (b) the manner and timing of such engagement.
15	The governing body should ensure that assurance services and functions enable an effective control environment, and that these support the integrity of information for internal decision-making and of the organisation's external reports.	Comply	The Board has delegated to the Audit and Risk Committee oversight to ensure an effective internal control environment, integrity of information for management decision making and external reporting. The Board ensures that a combined assurance model is applied that covers significant risks and material matters through a combination of the organisation's line functions, risk and compliance functions, external accountants as well as external auditors and other regulatory service providers and regulatory so as to enable it to assess the integrity of information and reports and form an opinion on the effectiveness of the control environment.

Principle	Description	Compliance status	Extent of compliance
			The risk appetite of executive management, the Audit and Risk Committee and Board will determine areas of strategic and business focus, which in turn determines the level of assurance considered appropriate for identified business risks and exposures. To plan and coordinate assurance as the Company grows, the company will design and implement a combined assurance framework, incorporating a number of assurance services, to cover adequately its significant risks and material matters so that these enable an effective control environment, support the integrity of information used as well as the integrity of the group's external reporting.
16	In the execution of its governance role and responsibilities, the governing body should adopt a stakeholder-inclusive approach that balances the needs, interests and expectations of material stakeholders in the best interests of the organisation over time.	Comply	Whilst the effective management of stakeholder relationships will be delegated to management, the Board ensures that a policy providing for the management of stakeholder relationships is adopted. The Company has a website where all financial reports, business updates and any other information will be made available to ensure that stakeholders are kept abreast with the Company's developments.

REMUNERATION REPORT

REMUNERATION POLICY - PART I

Background statement

The Board of Directors ("**the Board**") has informed itself about the implications and the impact of the King IV Code on Corporate Governance, 2016 ("**King IV**") on the remuneration policy as well as the amended JSE Listings Requirements and present this report in two parts. The Chairman's statement and the CEO's report provide context to the decisions and considerations taken during the reporting year which influenced the remuneration outcomes and will influence the remuneration going forward.

The Board ensures that the Company and its subsidiary comply with the necessary principles as set out in King IV and relevant sections of the Companies Act, No. 71 of 2008 ("**the Act**") when determining the remuneration of the executive and non-executive Directors. However, it should be noted that due to the nature of the Company and the restricted operations, the number of employees is limited, with the business operating primarily on an outsource basis.

Given the nature of the group, the intention of this remuneration report is to provide an overview and understanding of aReit's remuneration philosophy and focuses on executive and non-executive director remuneration.

The Company operates under a mandate from the Board and written terms of reference approved by the Board. The Company strives to comply with all governance matters and legal requirements.

The group has a simple approach to remuneration, which is aimed at ensuring that an appropriate balance is achieved between the interests of shareholders and the strategic and operational requirements of the group by providing remuneration to the executives commensurate with the limited operations of the Company.

The executive directors' remuneration has been fixed in line with the profit forecast as detailed in the Company's Prospectus ahead of listing during the year under review. There has been no change to the remuneration, which is a fixed annual salary. There are no bonuses or incentives applicable to executive directors due to the relatively simple and limited operations of the Group.

NON-EXECUTIVE DIRECTOR REMUNERATION

Terms of service

Non-executive Directors are appointed by the shareholders at the annual general meeting ("**AGM**"). Interim Board appointments are permitted between AGMs. Appointments are made in accordance with group policy. Interim appointees retire at the next AGM, when they may make themselves available for re-election.

In terms of the Company's Memorandum of Incorporation, one third of the non-executive Directors may make himself or herself available for re-election, provided that if a director is appointed as an executive director or as an employee of the company in any other capacity, he or she shall not, while he or she continues to hold that position or office, be subject to retirement by rotation and he or she shall not, in such case, be taken into account in determining the rotation or retirement of Directors.

In addition, as recommended by King IV, once a director has served for nine or more years, he or she may continue to serve in an independent capacity if the Board concludes that the director continues to exercise objective judgement, there is no interest, position, association or relationship which, when judged from the perspective of a reasonable and informed third party, is like to influence unduly or cause bias in decision-making. The assessment must be made each year after nine years.

Fees

Group policy is to pay reasonable fees for the role while recognising the required time commitment and the current simple and limited operations of the group. Fees are not yet benchmarked against a comparator group of JSE-listed companies. The fees, which were agreed with the non-executive directors ahead of the listing and disclosed in the Prospectus, comprise a retainer fee, as tabled in Part II of this report. In addition, subject to approval by the executive directors, non-executive Directors are entitled to be compensated for non-local travel and subsistence on official business where necessary and to attend meetings. No contractual arrangements are entered into to compensate non-executive Directors for the loss of office. Non-executive Directors do not receive short-term incentives nor do they participate in any long-term incentive schemes. The group does not provide retirement contributions to non-executive Directors. The Board proposes non-executive Directors' fees to shareholders annually or bi-annually for shareholders to vote thereon.

EXECUTIVE DIRECTORS' REMUNERATION

The remuneration philosophy of the group is to pay Executive Directors a market-related remuneration for the limited requirements of the Company at this point in time, due to the simplicity of the business.

No increases or bonuses were awarded in respect of the year ended 31 December 2022.

Annual review by the non-executive Directors

In relation to executive Directors, the total cost-to-company package is reviewed annually by the Board based on market information and individual competency assessments. In addition, the Board is mandated to annually review the remuneration policy which affects all senior executives and senior managers. However, due to the limited operations and no variation in remuneration, this was not undertaken during the year under review and to the date of this report;

Executive and Non-Executive Directors' remuneration

Details of the remuneration of individual Directors are listed in note 17 of the Annual Financial Statements.

Non-executive Directors' remuneration

The proposed fees for non-executive Directors for the year ending 31 December 2023 are as follows:

Directors	Year ending 31 December 2023
J Osse	100 000
F Noordien	100 000
S Chase	100 000
J Kruger	100 000

Any new independent non-executive director will be appointed at the same level of remuneration. This will be reconsidered for the year ending 31 December 2024 once the Company has achieved its profit forecasts as detailed in the Prospectus.

INTEREST OF DIRECTORS IN SHARE CAPITAL OF THE COMPANY

The details of the individual Directors' interest in the share capital of the Company are disclosed in the Directors' Report, which is included in this Integrated Annual Report.

INTEREST OF DIRECTORS IN CONTRACTS

No director had any new interest in contracts of the Group during the year ended 31 December 2022 with the only interest in contract being the acquisition of the leasehold properties with effect from 31 December 2021 in order to establish the group for the listing. A permanent register of Directors' interests in contracts is maintained by the Company Secretary. Shareholders are referred to the related party information in note 20 of the Annual Financial Statements for further information.

PRESCRIBED OFFICERS OF THE GROUP WHO ARE NOT EXECUTIVE DIRECTORS

King IV recommends that the salaries of the prescribed officers, excluding executive Directors, should be disclosed. aReit currently does not have any prescribed officers.

SERVICE CONTRACTS AND SEVERANCE PAY ARRANGEMENTS

None of the directors have any commission, gain or profit-sharing arrangements. The Company does not have a provident or pension plan in place.

The Company has formal employment agreements with all of the executive directors which provide for a one-month notice period. The Company does not have an incentive bonus scheme and there are no share options in place.

The employment agreements do not provide for a restraint of trade due to the nature of the business. Other than the executive directors, there is no key management.

SHAREHOLDER ENGAGEMENT

The group's remuneration policy and the implementation thereof are placed before shareholders for consideration and approval under the terms of an advisory non-binding vote at AGM to be held on Monday, 19 June 2023, as recommended by King IV.

In the event that 25% or more of the votes cast are recorded against either the remuneration policy resolution or the implementation resolution, then:

- executive management will engage with shareholders to ascertain the reasons for the dissenting vote. Where considered appropriate, non-executive Board members may participate in these engagements with selected shareholders; and
- executive management will make specific recommendations to the Board as to how the legitimate and reasonable objections of shareholders might be addressed, either in the group's remuneration policy or through changes on how the remuneration policy is implemented.

NON-BINDING ADVISORY VOTE

Shareholders are requested to cast a non-binding advisory vote on the remuneration policy as contained in this report.

IMPLEMENTATION OF REMUNERATION POLICY – PART II

Executive Directors' remuneration

Guaranteed pay: no increases in base pay and benefits were awarded in determining the Total Cost to Company for executive Directors.

Non-binding advisory vote

Shareholders are requested to cast a non-binding advisory vote on the remuneration implementation report as contained in this report.

Approval

This remuneration report was approved by the Board.



AREIT PROP LIMITED AND ITS SUBSIDIARY

APPROVED AS A REIT IN TERMS OF THE JSE LISTINGS REQUIREMENTS

(Registration Number 2021/837953/06)

**FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022**

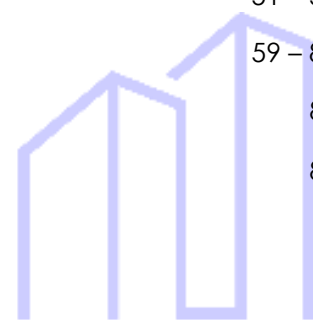


GENERAL INFORMATION

Country of incorporation and domicile	South Africa
Nature of business and principal activities	Investing in leasehold rights to earn fixed rentals
Directors	M E Jaspers A H Ismail J M J Osse F Noordien S D Chase J A Kruger
Registered office	5 Provident South street Parow Cape Town 7500
Business address	5 Provident South street Parow Cape Town 7500
Postal address	PO Box 6611 Roggebaai Cape Town Western Cape 8012
Banker	Standard Bank Limited
Auditor	Mazars Registered Auditor
Secretary	Light Consulting Proprietary Limited
Company registration number	2021/837953/06
Level of assurance	These consolidated and separate annual financial statements have been audited in compliance with the applicable requirements of the Companies Act of South Africa, No. 71 of 2008.
Preparer	The consolidated and separate annual financial statements were independently compiled by: Ruan van der Burgh, Chartered Accountant (SA), VDB Chartered Accountants Proprietary Limited
Published	10 May 2023

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aReit Prop



AREIT PROP LIMITED AND ITS SUBSIDIARY

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

AUDIT AND RISK COMMITTEE REPORT

Introduction

The Board of Directors ("the Board") has a combined audit and risk committee ("the Audit Committee" or "the Committee") due to the nature and current size of the Company. The report of the Audit Committee is presented as required by section 94(7)(f) of the Companies Act, No. 71 of 2008 ("the Act").

The Audit Committee is constituted as a statutory committee of aReit Prop Limited ("aReit" or "the Company") in respect of its statutory duties in terms of Section 94(7) of the Act and a committee of the Board in regard to all other duties assigned to it by the Board of the Company.

Composition

The Audit Committee consisted of the following non-executive directors for the Year ended 31 December 2022:

Member	Date of Appointment	Attendance for the year under review
F Noordien (Chairman)#	5 November 2021	100%
S Chase#	15 October 2021	100%
Jason Kruger#	7 April 2022	100%
# - Independent		

Mr T Nel resigned as a director on 28 February 2022.

aReit has considered the composition of the Audit Committee in terms of King IV, which recommends that all members are independent. The Audit Committee has considered this recommendation and notes that all the members are considered to be independent.

The Board has approved the Audit Committee terms of reference and is satisfied that Audit Committee members have recent and relevant financial experience to carry out their duties and responsibilities.

Statement of Audit Committee Responsibilities for the Year ended 31 December 2022

Role and work of the Audit Committee

The role of the Audit Committee is to assist the Board by performing an objective and independent review of the functioning of the organisation's finance and accounting control mechanisms. It exercises its functions through close liaison and communication with management and the external auditors. The Company appointed Mazars as its new auditor for the year ended 31 December 2022.

The Committee met four times for the year under review.

The Audit Committee met with both the external auditor and advisors in private sessions, without executive management being present. The Chief Executive Officer and Financial Director attend Audit Committee meetings as necessary, at the invitation of the Chairman of the Audit Committee. In addition, other non-executive directors are extended an invitation to attend the Audit Committee meetings.

AREIT PROP LIMITED AND ITS SUBSIDIARY

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

Audit Committee Terms of Reference

The Committee is guided by its terms of reference, dealing with membership, structure and levels of authority and has the following responsibilities:

- ensuring compliance with applicable legislation and the requirements of regulatory authorities;
- nominating for appointment a registered auditor who, in the opinion of the Audit Committee, is independent of the Company;
- review of matters relating to financial accounting, accounting policies, reporting and disclosure;
- review/approval of external audit plans, findings, reports, fees and determination and approval of any non-audit services that the auditor may provide to the Company and the group;
- review/consideration of expertise and experience of the financial director and the finance team;
- compliance with the charter; and
- compliance with the Company's code of ethics.

In addition to the above, in terms of the Risk Management Policy approved on 7 December 2021 ahead of the Company's listing as a REIT on the JSE, the Committee is required to monitor and prohibit aReit from entering into any derivative transactions which are not in the ordinary course of business and report thereon in the Annual Report.

Responsibilities and independence of the external auditor

The Audit Committee addressed its responsibilities properly in terms of the charter during the 2022 financial period. One of these responsibilities was the assessment of the independence of the auditor.

The Committee is satisfied that the auditor, Mazars, is independent of the Company as well as the designated audit partner. It has further satisfied itself that the audit firm and designated auditor, Marc Edelberg, are accredited to appear on the Johannesburg Stock Exchange ("JSE") list of accredited auditors.

The Audit Committee has also reviewed the relevant documentation to consider the suitability of the audit firm and designated auditor as stipulated in paragraph 3.84(g)(ii) of the JSE Listings Requirements and the guidance letter issued by the JSE. This review included the inspection reports, reinspection reports, where necessary, decisions letters and remedial actions to address IRBA's findings on the audit firm, the individual auditor and all other engagement file reviews together with explanations where necessary. It is noted that the audit partner will need to rotate after the year ending 31 December 2025.

Non-audit services policy

The Audit Committee has an established non-audit services policy as well as an approval process for non-audit services, where utilised. During the period under review and subsequent to year end, Mazars did not perform any non-audit services.

Internal financial controls and internal auditor

The Committee is of the opinion that, whilst basic, aReit's system of internal financial controls and financial reporting procedures are functioning effectively and form a basis for the preparation of reliable financial statements. The service of an outsourced financial statement complier was engaged during the year under review.

The Company has not appointed an internal auditor based on various considerations, including the simple nature of the business, the size of the business and the accounting and control environment. The Committee will continue to consider the requirement for internal audit as a standing agenda item.

The Committee is satisfied that it has complied with its legal, regulatory and other responsibilities.

AREIT PROP LIMITED AND ITS SUBSIDIARY

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

Expertise and experience of the financial function

In terms of section 3.84(g)(i) of the JSE Listing Requirements, the Committee has considered, and is satisfied with, the experience and expertise of Mr A H Ismail as the Financial Director. It was noted that the Financial Director lacked drafting and full IFRS experience and accordingly this function was supported using outsource services.

The services of R van der Burgh CA(SA), VDB Chartered Accountants Proprietary Limited were engaged to assist with the preparation of the Annual Financial Statements for the year ended 31 December 2022.

Review of financial statements

Management has reviewed the financial statements with the Audit Committee, and the Audit Committee has reviewed them without management or external auditors being present. The quality of the accounting policies was discussed with the external auditors.

Confirmation of compliance with Risk Management Policy and Approval of report

The Committee confirms that aReit has not entered into any derivative transactions during the year under review.

The Audit Committee confirms that, for the 2022 financial year, it has functioned in accordance with its terms of reference and as required by the Act and that this report has been approved by the Board.

Approval of Financial statements

The Audit Committee reviewed and recommended the financial statements for approval by the Board and considers the financial statements of aReit and its subsidiaries to be a fair presentation of its financial position on 31 December 2022 and of the results of the operations, changes in equity and cash flows for the period then ended, in accordance with International Financial Reporting Standards, the Act and the JSE Listings Requirements. The Audit Committee refers shareholders to the going concern statements that are included in the Directors' Report.



F NOORDIEN
CHAIRMAN

AREIT PROP LIMITED AND ITS SUBSIDIARY

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

COMPANY SECRETARY'S CERTIFICATION

Declaration by the Company secretary in respect of Section 88(2)(e) of the Companies Act of South Africa, No. 71 of 2008

In terms of section 88(2)(e) of the Companies Act of South Africa, No. 71 of 2008, we certify that aReit Prop Limited and its subsidiary has lodged with the Companies and Intellectual Property Commission all such returns and notices as are required in terms of the Companies Act of South Africa, No. 71 of 2008 and that all such returns and notices are true, correct and up to date.



ON BEHALF OF:

LIGHT CONSULTING PROPRIETARY LIMITED

10 May 2023



Independent Auditor's Report

31 December 2022

To the Shareholders of aReit Prop Limited

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of aReit Prop Limited (the group and company) set out on pages 47 to 81, which comprise the consolidated and separate statement of financial position as at 31 December 2022, and the consolidated and separate statement of profit or loss and other comprehensive income, consolidated and separate statement of changes in equity and the consolidated and separate statement of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of aReit Prop Limited as at 31 December 2022, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the company in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Registered Auditor – A firm of Chartered Accountants (SA) • IRBA Registration Number 900222

Partners: MV Ninan (CEO), C Abrahamse, SJ Adlam, JM Barnard, AK Batt, T Beukes, WI Blake, HL Burger, MJ Cassan, JC Combrink, JR Comley, GJ De Beer, TVDL De Vries, G Deva, Y Dockrat, DS Dollman, S Doolabh, A Driscoll, CP Du Plessis, J Du Plessis, M Edelberg, JJ Eloff, T Erasmus, B Ferreira, Y Ferreira, MH Fisher, T Gangen, M Groenewald, J Heathcote-Hacker, K Hoosain, MY Ismail, B Jansen, J Kasan, D Kieve, CN Kelton, J Marais, N Mayat, B Mbunge, FN Miller, G Molyneux, A Moruck, R Murugan, S Naidoo, GJ Oberholster, MG Odendaal, MC Olckers, W Olivier, MV Patel, M Pieterse, E Pretorius, W Rabe, N Ravele, D Resnick, L Roeloffze, M Saayman, MA Salee, E Sibanda, MR Snow, SM Solomon, W Sterley, EM Steyn, HH Swanepoel, AL Swartz, DM Tekie, MJA Teuchert, N Thelander, S Truter, PC van der Merwe, L van Jaarsveldt, R van Molendorff, JC Van Tubbergh, N Volschen, S Vorster, J Watkins-Baker

Our offices: Bloemfontein, Cape Town, Durban, George, Gqeberha, Johannesburg, Paarl, Plettenberg Bay, Pretoria

Matter	Audit Response
Valuation of Investment Property: Note 3 The investment property portfolio consists of three investment properties stated at their fair values based on internal valuations performed by the directors in terms of accounting policies described in note 1.3 and 1.4. The leasehold investment property was valued by means of the discounted cash flow methodology over a period of 39 years using a weighted discount rate of 9.87% and a rental growth rate of 5%. The period of 39 years has been determined based on the signed lease agreements from year end. For the two hospitality properties, the rental also includes a variable portion that is linked to number of room bookings. We considered the valuation of investment properties to be a matter of most significance to our current year audit due to the following: • The significant value of the investment properties recorded in the consolidated and separate statement of financial position. • The assumptions used in the valuation model particularly the discount rates and the forecast variable rental income, are inherently judgemental and subject to a high degree of estimation uncertainty.	We obtained an understanding of the methods and assumptions used by management as well as internal controls in place in calculating the fair values of the leasehold properties in the portfolio. We assessed whether management has the necessary expertise, experience and knowledge to calculate the fair value of the properties in the portfolio by verifying their experience and qualifications in the property industry. We evaluated whether the valuation techniques and methodologies applied by management for each leasehold property was appropriate and consistent with generally accepted property valuation techniques in the property industry. We performed audit procedures over the valuation of the entire portfolio by testing inputs and assumptions used by management including, amongst others, the following: • Forecast rental income was compared to actual income for the 2022 financial year, as well as to contractual rentals as per the agreements. • Forecast variable rental income was compared to actual variable income for the 2022 financial year. The future variable rental which is mainly driven by the room occupancy % was assessed for reasonableness against the current year actual room occupancy, the actual post year end room occupancy of the hotels as well as industry expectations. • The completeness of the variable rental was assessed by reviewing and testing the operating effectiveness of IT environment and controls operated by a tenant. • We compared data inputs into the valuation models against appropriate market and historic information. • The discount rate used was compared to capitalisation rates of similar located properties in the market.

	• We assessed the mathematical accuracy of all the valuations prepared by the directors. We evaluated the appropriateness of the disclosures in the consolidated and separate financial statements concerning the key assumptions to which the valuations are most sensitive, and the inter-relationship between the assumptions and the valuation amounts, in compliance with the requirements of IAS 40 – Investment Property and IFRS 13 – Fair Value Measurement.
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Other Information

The directors are responsible for the other information. The other information comprises the information included in document titled “AReit Prop Limited and its Subsidiary Financial Statements for the year ended 31 December 2022”, which includes the Directors’ Report, the Audit and Risk Committee Report and the Company Secretary’s Certification as required by the Companies Act of South Africa, the Chief Executive Officer and Chief Financial Director’s Responsibility Statement, the Analysis of shareholders and Appendix 1 - SA REIT Best Practice Disclosure. The other information does not include the consolidated and separate financial statements and our auditor’s report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor’s report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the group’s and the company’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group and / or the company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's and the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's and the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and / or the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.



We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

[Report on Other Legal and Regulatory Requirements](#)

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that Mazars has been the auditor of aReit Prop Limited for 2 years.

A handwritten signature in black ink that reads "Mazars".

Mazars

Partner: Marc Edelberg

Registered Auditor

Date: 11 May 2023

Cape Town

DIRECTORS' RESPONSIBILITIES AND APPROVAL

The Directors are required in terms of the Companies Act of South Africa, No. 71 of 2008 to maintain adequate accounting records and are responsible for the content and integrity of the consolidated and separate annual financial statements and related financial information included in this report. It is their responsibility to ensure that the consolidated and separate annual financial statements fairly present the state of affairs of the group as at the end of the financial year and the results of its operations and cash flows for the period then ended, in conformity with the Companies Act of South Africa, No. 71 of 2008, International Financial Reporting Standards, the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council and the Johannesburg Stock Exchange Listings Requirements. The external auditor is engaged to express an independent opinion on the consolidated and separate annual financial statements.

The consolidated and separate annual financial statements are prepared in accordance with the Companies Act of South Africa, No. 71 of 2008, International Financial Reporting Standards, the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council and the Johannesburg Stock Exchange Listings Requirements and are based upon appropriate accounting policies consistently applied and supported by reasonable and prudent judgements and estimates.

The Directors acknowledge that they are ultimately responsible for the system of internal financial control established by the group and place considerable importance on maintaining a strong control environment. To enable the Directors to meet these responsibilities, the Directors set standards for internal control aimed at reducing the risk of error or loss in a cost-effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the group and all employees are required to maintain the highest ethical standards in ensuring the group's business is conducted in a manner that in all reasonable circumstances is above reproach. The focus of risk management in the group is on identifying, assessing, managing and monitoring all known forms of risk across the group. While operating risk cannot be fully eliminated, the group endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

The Directors are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the consolidated and separate annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss.

The Directors believe the group and company has adequate resources to continue trading as a going concern in the foreseeable future. The consolidated and separate annual financial statements support the viability of the group and company to continue as a going concern.

The external auditor is responsible for independently auditing and reporting on the group's consolidated and separate annual financial statements. The consolidated and separate annual financial statements have been independently audited by the group's external auditor and their report is presented on pages 36 to 40.

The consolidated and separate annual financial statements set out on pages 29 to 81, which have been prepared on the going concern basis, were approved by the Directors on 10 May 2023 and were signed on their behalf by:



MARIA ELISABETH JASPERS
CHIEF EXECUTIVE OFFICER



ABDUL HADI ISMAIL
FINANCIAL DIRECTOR

AREIT PROP LIMITED AND ITS SUBSIDIARIES

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

CHIEF EXECUTIVE OFFICER AND FINANCIAL DIRECTOR'S RESPONSIBILITY STATEMENT

The Directors and officers, whose names are stated below, hereby confirm that:

- a) The group and company financial statements set out on pages 29 to 81, fairly present in all material respects the financial position, financial performance and cash flows of the issuer in terms of IFRS;
- b) To the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the group and company financial statements false or misleading;
- c) Internal financial controls have been put in place to ensure that material information relating to the group, its consolidated subsidiary and company have been provided to effectively prepare the consolidated annual financial statements of the group and company;
- d) The internal financial controls are adequate and effective and can be relied upon in compiling the group and company financial statements, having fulfilled our role and function as executive Directors with primary responsibility for implementation and execution of controls;
- e) Where we are not satisfied, we have disclosed to the audit committee and the auditors any deficiencies in design and operational effectiveness of the internal financial controls and have remediated the deficiencies; and
- f) Any fraud that involves Directors was reported to the audit committee. We are not aware of any fraud involving Directors.



MARIA ELISABETH JASPERS
CHIEF EXECUTIVE OFFICER



ABDUL HADI ISMAIL
FINANCIAL DIRECTOR

DIRECTORS' REPORT

The Directors have pleasure in submitting their report on the consolidated and separate annual financial statements of aReit Prop Limited and its subsidiary for the year ended 31 December 2022.

1. Main business and operations

The Company was newly incorporated on 9 September 2021 ahead of its listing and did not trade from incorporation up to 31 December 2021, which audited results were finalised and approved by shareholders on 28 February 2022 ahead of the listing of the Company, as published on SENS on 1 March 2022. The rental income was recognised in aReit's wholly owned subsidiary, aReit Prop Leasehold, with effect from 1 January 2022 and aReit successfully completed its listing on the Main Board of the JSE Limited ("the JSE") on 1 March 2022.

aReit holds a portfolio of three properties, of which the Group holds the leasehold rights, two in the hospitality sector and one in the medical sector, with a total GLA of 22 261m². The properties are situated in prime locations in Cape Town and have strong long-term tenants. The properties of which the Group has the leasehold rights, are owned by the property owners, who are also the majority shareholders of the Group, namely New Line Investments 101 Proprietary Limited ("Newline"), Leisure Investment Trust ("Leisure Investment") and Tulip Trust. These leasehold rights were obtained for 40 years (automatically renewing annually thereafter, with a 3 year notice period), in terms of an agreement signed on 22 November 2021 from the owners of the properties (as referred to above), with effect from 31 December 2021, at a total value of R913 918 000, the consideration was settled through the issue of 99 999 900 new shares in the Company to the vendors. Ahead of listing on the JSE on 1 March 2022, the vendor shareholders placed 20.88 million shares through a private placing, at a price of R8.00 per share, as part of the listing process to improve the shareholder spread and to increase the liquidity of the shares.

Cresta Grande Hotel is a 4 Star hotel facility with panoramic views of the City of Cape Town, Table Mountain, Lions Head and the harbour. The 18 floor hotel offers accommodation of 242 superior and deluxe rooms on 14 floors. The hotel has a 200 seat Buffet and A La Carte restaurant as well as bars, conference rooms, a gym, a swimming pool and patio/deck and secure basement parking facilities. The property is leased by Cresta Hotels for 10 years, with a 10-year renewal option and a corporate parent guarantee is held for the lease. The Company has an additional lease agreement with Supasite for billboards on the top of the property.

Fountains Hotel operates as a 4-star hotel, comprising 11 floors offering a total of 160 rooms. The common facilities include a restaurant with a 150 patron capacity, plus a bar area and lounge section. There are four conference rooms with a capacity of 60 to 200 heads respectively. The property is leased by Afrirent for 10 years, with a 10-year renewal option and a corporate parent guarantee is held for the lease.

Lady Hamilton previously operated as a 78 room Hotel, situated in the Gardens suburb of Cape Town. The facilities include a 120-seater restaurant, a lounge, outdoor pool and terrace area, a games room and library as well as two conference rooms. The property has been converted into a unique medical facility to provide health care. There is a provision in place to increase the allowable bulk on the subject property to over 6 000m². The property is leased by Suncare for 5 years, with three 5-year renewal options.

The vendors of the leasehold properties negotiated the long-term leases in the midst of the lockdown and accordingly agreed minimum rental income as a base for two of its four leases. These two leases provide for the higher of the minimum contracted rental or 25% of turnover, which variable participation commenced with the Fountains Hotel from 1 January 2022 and the Cresta Grande Hotel from 1 January 2023, providing upside potential for aReit as tourism and the economy recover yet securing the downside risk. Due to the long-term leases, with strong tenants and the nature of the business, the Board does not consider that the Group will be exposed to any negative impact of the event in Ukraine.

AREIT PROP LIMITED AND ITS SUBSIDIARIES

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

The Group's property portfolio was independently valued during November 2021 at R913 918 000 ahead of its listing on the JSE. The directors reperformed a valuation at year end, and no adjustment was deemed necessary.

2. Nature of business

aReit Prop Limited is listed as a Real Estate Investment Trust ("REIT") on the Main Board of the Johannesburg Stock Exchange ("JSE"). aReit Prop Limited is a diversified, innovative hospitality and medical REIT investment product responding to the challenges of the post COVID-19 era. Through the leasehold acquisition, aReit Prop Limited has secured three long term leases from three strong tenants operating in the hospitality and medical sectors, with a fourth long term lease for billboards on the top of the Cresta Grande property. The four long term leases are triple net leases. The responsibility of the day-to-day operating expenses lies with the tenants. All property related expenses are incurred by the landlords.

3. Review of financial results and activities

The consolidated and separate annual financial statements have been prepared in accordance with International Financial Reporting Standards, the requirements of the Companies Act of South Africa, No. 71 of 2008, the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council and the Johannesburg Stock Exchange Listings Requirements. The accounting policies have been applied consistently compared to the prior year as disclosed in the Prospectus. There was no adoption of new or revised accounting standards during the year under review as set out in note 2 to the Annual Financial Statements.

Full details of the financial position, results of operations and cash flows of the group are set out in these consolidated and separate annual financial statements.

4. Authorised and issued stated capital

There were no changes to the authorised or issued stated capital during the year under review.

5. Distributable Profit for the year ended 31 December 2022 and Dividends Declared

A reconciliation of the distributable profit for the year ended 31 December 2022 is set out below:

Figures in Rand	31 December 2022
Profit for the year	39 597 993
Adjustments	-
Distributable Profit	39 597 993
Dividend distribution	29 994 754
Percentage distribution during the year	75.75%
Cents per share	29.99475
Number of shares in issue	100 000 000
Distributions declared and paid during the year under review:	
Quarter 1, paid in Quarter 2	10 705 249
Quarter 2, paid in Quarter 3	9 642 385
Quarter 3, paid in Quarter 4	9 647 120
Total	29 994 754

The intention of the Board is to declare 100% of its distributable profit for the year ended 31 December 2022 and the final dividend announcement and salient dates will be announced on SENS during May 2023.

Refer to note 24 consolidated and separate annual financial statements for further details.

AREIT PROP LIMITED AND ITS SUBSIDIARIES

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Financial Statements for the year ended 31 December 2022

6. Directors

The Directors of the group during the year and at the date of this report are as follows:

Directors	Office	Nationality	Changes
M E Jaspers	Chief Executive Officer	Dutch	
A H Ismail	Financial Director	South African	
J M J Osse	Non-Executive Chairman	Dutch	
F Noordien	Independent Non-Executive	South African	
S D Chase	Independent Non-Executive	British	
T J Nel	Independent Non-Executive	South African	Resigned 28 February 2022
J A Kruger	Independent Non-Executive	South African	Appointed 07 April 2022

7. Directors' interests in shares

The aggregate direct and indirect beneficial interest of the Directors in the issued share capital of the company at 31 December 2022 was as follows:

	2022			2021		
	Direct Beneficial	Indirect Beneficial	Total	Direct Beneficial	Indirect Beneficial	Total
Executive						
M E Jaspers	-	15 822 369	15 822 369	-	20 000 000	20 000 000
A H Ismail	-	125 000	125 000	-	-	-
Non-Executive						
J M J Osse	-	63 289 474	63 289 474	-	80 000 000	80 000 000
F Noordien	-	-	-	-	-	-
S D Chase	-	62 500	62 500	-	-	-
T J Nel	-	-	-	-	-	-
J A Kruger	-	-	-	-	-	-
Total	-	79 299 343	79 299 343	-	100 000 000	100 000 000

There were no changes in Directors' interests in shares subsequent to year end. In terms of the acquisition of the leasehold rights as detailed in the prospectus issued by the Company, 35 000 000 of the above shares are ceded to the Company as security for the obligation of the property owners in relation to rates, taxes, insurance and major repairs for a period of two years. This number of shares will be reassessed after the year ending 31 December 2023.

8. Investment in subsidiary

Details of the investment in subsidiary is presented in the consolidated and separate annual financial statements in note 4

9. Special resolutions

The following special resolutions were approved at the group and company's 2021 annual general meeting:

- Special resolution number 1: Financial assistance for subscription of securities – To authorise the Directors of the company, in terms of section 44 of the Act, to provide direct or indirect financial assistance by way of loans, guarantees, the provision of security or otherwise to any person (as defined by the Act) for the purposes of, or in connection with, the subscription of any option or any securities (as such term is defined in the Act), issued or to be issued by the company or a related or inter-related company, or for the purchase of any securities of the company or a related or inter-related company;
- Special resolution number 2: Financial assistance – To authorise the Directors of the company, in terms of section 45 of the Act, to cause the company to provide any direct or indirect financial assistance to any director or prescribed officer of the company or of a related or interrelated company, or to a related or inter-related company or corporation, or to a member of a related or inter-related corporation, or to a person (as defined in the Act) related to any such company (including the company), corporation;

AREIT PROP LIMITED AND ITS SUBSIDIARIES

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Financial Statements for the year ended 31 December 2022

- Special resolution number 3: General authority to repurchase shares – To authorise the company or any of its subsidiaries to repurchase or purchase, as the case may be, ordinary shares issued by the company on such terms and conditions and in such amounts as the Directors of the company may decide; and
- Special resolution 4: The authority to pay Non-executive Directors' fees for the period ended 31 December 2021, and further that the non-executive Directors' fees proposed for the period from 1 January 2022 until 31 December 2022 were approved.

No other special resolutions, the nature of which might be significant to the shareholders in their appreciation of the state of affairs of the group were made by the group or its subsidiary during the period covered by this report.

10. Events after the reporting period

The Directors are not aware of any material reportable event affecting the consolidated and separate annual financial statements which occurred after the reporting date and up to the date of this report.

11. Going concern

The Directors believe that the group has adequate financial resources to continue in operation for the foreseeable future and accordingly the annual financial statements have been prepared on a going concern basis.

The Directors are not aware of any material non-compliance with statutory or regulatory requirements or of any pending changes to legislation which may affect the group.

12. Auditor

Mazars will be recommended to shareholders at the annual general meeting to continue in office as the independent auditor for the group for the year ending 31 December 2023.

13. Secretary

The company secretary during the year and at the date of this report is Light Consulting Proprietary Limited.

14. Liquidity and solvency

The Directors have performed the required liquidity and solvency tests required by Companies Act of South Africa, No. 71 of 2008, of which the outcome was satisfactory.

15. Litigation

The Directors are not aware of any legal or arbitration proceedings, including proceedings that are pending or threatened, that may have or had in the previous 12 months, a material effect on the group's financial position.

16. Comparative figures

The prior period is shorter than a year, therefore comparative amounts are not comparable to the current balances.

AREIT PROP LIMITED AND ITS SUBSIDIARIES

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

STATEMENT OF FINANCIAL POSITION

		Group		Company	
	Notes	31 December 2022	31 December 2021	31 December 2022	31 December 2021
Assets					
Non-Current Assets					
Investment properties	3	913,918,000	913,918,000	-	-
Investment in subsidiary	4	-	-	-	-
Loans to related parties	5	-	-	913,918,000	913,918,000
		913,918,000	913,918,000	913,918,000	913,918,000
Current Assets					
Loan to related party	5	9,978,072	100	9,978,072	100
Trade and other receivables	6	57,371	-	57,371	-
Cash and cash equivalents	7	1,068	-	1,068	-
		10,036,511	100	10,036,511	100
Total Assets		923,954,511	913,918,100	923,954,511	913,918,100
Equity and Liabilities					
Equity					
Stated capital	8	917,000,100	917,000,100	917,000,100	917,000,100
Retained income/(Accumulated loss)		6,521,239	(3,082,000)	6,521,239	(3,082,000)
		923,521,339	913,918,100	923,521,339	913,918,100
Liabilities					
Current Liabilities					
Trade and other payables	9	433,172	-	433,172	-
Total Equity and Liabilities		923,954,511	913,918,100	923,954,511	913,918,100

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STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		Group		Company	
		12 months ended 31 December 2022	4 months ended 31 December 2022	12 months ended 31 December 2022	4 months ended 31 December 2022
Figures in Rand	Notes				
Revenue	10	65,453,085	-	41,077,789	-
Fair value adjustments	11	(24,375,296)	-	-	-
Other operating expenses		(1,851,133)	(3,082,000)	(1,851,133)	(3,082,000)
Operating profit (loss)	12	39,226,656	(3,082,000)	39,226,656	(3,082,000)
Investment income	13	372,795	-	372,795	-
Finance costs	14	(1,458)	-	(1,458)	-
Profit (loss) before taxation		39,597,993	(3,082,000)	39,597,993	(3,082,000)
Taxation	15	-	-	-	-
Profit (loss) for the period		39,597,993	(3,082,000)	39,597,993	(3,082,000)
Other comprehensive income		-	-	-	-
Total comprehensive income (loss) for the period		39,597,993	(3,082,000)	39,597,993	(3,082,000)

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STATEMENT OF CHANGES IN EQUITY

Figures in Rand	Stated Capital	Retained income (Accumulated loss)	Total equity
Group			
Balance at 09 September 2021	-	-	-
Loss for the period	-	(3,082,000)	(3,082,000)
Other comprehensive income	-	-	-
Total comprehensive loss for the period	-	(3,082,000)	(3,082,000)
Share capital issued	917,000,100	-	917,000,100
Balance at 01 January 2022	917,000,100	(3,082,000)	913,918,100
Profit for the year	-	39,597,993	39,597,993
Other comprehensive income	-	-	-
Total comprehensive income for the year	-	39,597,993	39,597,993
Dividends (refer note 24)	-	(29,994,754)	(29,994,754)
Balance at 31 December 2022	917,000,100	6,521,239	923,521,339
Note	8		
Company			
Balance at 09 September 2021	-	-	-
Loss for the period	-	(3,082,000)	(3,082,000)
Other comprehensive income	-	-	-
Total comprehensive loss for the period	-	(3,082,000)	(3,082,000)
Share capital issued	917,000,100	-	917,000,100
Balance at 01 January 2022	917,000,100	(3,082,000)	913,918,100
Profit for the year	-	39,597,993	39,597,993
Other comprehensive income	-	-	-
Total comprehensive income for the year	-	39,597,993	39,597,993
Dividends (refer note 24)	-	(29,994,754)	(29,994,754)
Balance at 31 December 2022	917,000,100	6,521,239	923,521,339
Note	8		

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STATEMENT OF CASH FLOWS

		Group		Company	
		12 months ended 31 December 2022	4 months ended 31 December 2022	12 months ended 31 December 2022	4 months ended 31 December 2022
Figures in Rand	Notes				
Cash flows used in operating activities					
Cash used in operations	16	(8,157)	-	(8,157)	-
Finance costs paid		(216)	-	(216)	-
Net cash used in operating activities		(8,373)	-	(8,373)	-
Cash flows from investing activities					
Repayments from loans to related parties		9,441	-	9,441	-
Net cash from investing activities		9,441	-	9,441	-
Total cash movement for the year		1,068	-	1,068	-
Total cash at end of the year	7	1,068	-	1,068	-

Refer to note 18 for details regarding the non-cash movements.

Refer to note 19 for details regarding comparative figures.

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ACCOUNTING POLICIES

1. General information

aReit Prop Limited is a company domiciled in South Africa. The consolidated and separate annual financial statements as at and for the year ended 31 December 2022 comprise of aReit Prop Limited ("company") and its subsidiary, aReit Prop Leasehold Proprietary Limited (collectively referred to as the "group").

The principal accounting policies adopted in the preparation of these consolidated and separate annual financial statements are set out below and have been applied consistently in all material respects to all periods presented in the consolidated and separate annual financial statements except for the adoption of new standards effective during the current year as set out in note 2 of the consolidated and separate annual financial statements. For the accounting policies listed below, any references to the group refers to both the group and company unless specifically stated otherwise.

1.1 Basis of preparation and statement of compliance

The consolidated and separate consolidated and separate annual financial statements have been prepared on the going concern basis in accordance with, and in compliance with, International Financial Reporting Standards ("IFRS") and International Financial Reporting Interpretations Committee ("IFRIC") interpretations issued and effective at the time of preparing these consolidated and separate annual financial statements and the Companies Act of South Africa, No. 71 of 2008.

These consolidated and separate annual financial statements comply with the requirements of the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council and the Johannesburg Stock Exchange Listings Requirements.

The consolidated and separate annual financial statements have been prepared on the historic cost convention, unless otherwise stated in the accounting policies which follow and incorporate the principal accounting policies set out below. They are presented in Rands, which is the group and company's functional currency.

These accounting policies are consistent with the previous period, except for the adoption of new or revised standards as detailed in note 2.

The prior period is shorter than a year, therefore comparative amounts are not comparable to the current balances.

1.2 Consolidation

Basis of consolidation

The consolidated and separate annual financial statements incorporate the annual financial statements of the holding company and all subsidiaries. Subsidiaries are entities (including structured entities) which are controlled by the group.

The group has control of an entity when it is exposed to or has rights to variable returns from involvement with the entity and it has the ability to affect those returns through use of its power over the entity.

The results of the subsidiary is included in the consolidated and separate annual financial statements from the effective date of acquisition to the effective date of disposal.

Adjustments are made when necessary to the annual financial statements of the subsidiary to bring the accounting policies in line with those of the group.

1.2 Consolidation (continued)

All inter-company transactions and balances between group companies are eliminated in full on consolidation.

Separate Annual Financial Statements

In the company's separate financial statements, investment in subsidiary is carried at cost less accumulated impairment. Refer to note 4 for more details of the investment in subsidiary.

1.3 Significant judgements and sources of estimation uncertainty

The preparation of consolidated and separate annual financial statements in conformity with International Financial Reporting Standards requires management, from time to time, to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets, liabilities, income and expenses. These estimates and associated assumptions are based on experience and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Impairment of financial assets

The impairment provisions for financial assets are based on assumptions about risk of default and expected loss rates. The group uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the group's historic credit losses, existing market conditions as well as forward-looking estimates at the end of each reporting period. Detail regarding the method and assumptions used to calculate the ECLs are detailed in notes 5 and 21.

ECL provision on loans to related parties

Determining the ECL provision on intercompany loans contains a high degree of estimation uncertainty. Management considers likely recovery scenarios and applies judgement in assigning a weighting to each scenario in order to obtain a probability weighted ECL provision. Incorporating forward looking information requires management to make assumptions of the future and adds an additional layer of estimation uncertainty to the ECL provision. If a borrower is unable to demonstrate the ability to generate free cash flow for servicing the debt, the loan is fully provided for.

Fair value estimation

The fair values of investment properties are measured at the reporting date as determined by the Directors or independent professional valuers. The fair values of investment properties are estimated using either an income approach which capitalises the estimated rental income stream, net of projected operating costs or the discounted cash flow model or recent sales information of similar properties in the same development, or a combination of the valuation approaches. Refer to note 3 for detail on assumptions applied in the valuation of investment properties.

1.4 Investment properties

Investment property consist of leasehold rights acquired, and held by the Group for a period of 40 years. The leasehold rights give the Group the right to use the property, and are accounted for as investment property on the basis that these are held to earn rental income. The leasehold properties are leased out under operating leases and are not occupied by the Group.

Investment properties are recognised as assets when, and only when, it is probable that the future economic benefits that are associated with the investment properties will flow to the enterprise, and the cost of the investment properties can be measured reliably.

Investment properties are initially measured at cost, which includes any directly attributable transaction costs. Certain costs relating to the assets are capitalised after the investment properties have been recognised. Investment properties are subsequently measured at fair value and all movements in fair value are recognised in profit or loss for the period in which it arises. The Directors determine the fair value of investment properties at each reporting period. In addition, external valuations are obtained as deemed appropriate and each property is externally valued at least once every three years.

Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the group and the cost of the item can be measured reliably.

The straight lining of lease income is deducted from investment property as the discounted value of future rental cash flows is already incorporated into the fair value. This is reflected as an adjustment to the fair value for the current year.

1.5 Investment in subsidiary

The investment in subsidiary is carried at cost less any accumulated impairment losses.

1.6 Financial instruments

Financial assets recognised in the statement of financial position include loans to related parties and cash and cash equivalents.

Financial assets are initially recognised when the entity becomes counterparty to the contractual provisions of the instrument.

Financial assets are classified, at initial recognition, and subsequently measured at amortised cost. The group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

Financial assets at amortised cost

In order for a financial asset to be classified and measured at amortised cost it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

1.6 Financial instruments (continued)

Financial assets held at amortised cost are subsequently measured at amortised cost. The amortised cost is the amount recognised on the financial asset initially, minus principal repayments, plus cumulative amortisation (interest) using the effective interest method of any difference between the initial amount and the maturity amount, adjusted for any loss allowance.

The group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Financial liabilities at amortised cost are recognised initially at fair value, and are subsequently recognised at amortised cost.

Loans to related parties

Classification and measurement

Loans to related parties are initially recognised at fair value.

The loans are classified as financial assets measured at amortised cost, using the effective interest method. The loans are held to collect contractual cash flows on the principal amount and interest over the term of the loans. Loans to related parties for which no repayment terms have been set are regarded as being repayable on demand. These loans are discounted from the first day repayment can be demanded.

Impairment

Subsequent to initial recognition the loan is tested for impairment using the general approach. The group measures the loss allowance at an amount equal to lifetime expected credit losses (lifetime ECL) when there has been a significant increase in credit risk since initial recognition. If the credit risk on a loan has not increased significantly since initial recognition, then the loss allowance for that loan is measured at 12 month expected credit losses (12 month ECL).

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a loan. In contrast, 12 month ECL represents the portion of lifetime ECL that is expected to result from default events on a loan that are possible within 12 months after the reporting date.

In order to assess whether to apply lifetime ECL or 12 month ECL, in other words, whether or not there has been a significant increase in credit risk since initial recognition, the group considers whether there has been a significant increase in the risk of a default occurring since initial recognition rather than at evidence of a loan being credit impaired at the reporting date or of an actual default occurring.

Impairment of loans with no fixed terms of repayment

For loans receivable with no fixed terms of repayment, expected credit losses are based on the assumption that repayment of the loan is demanded at the reporting date.

1.6 Financial instruments (continued)

If the borrower has sufficient accessible highly liquid assets in order to repay the loan if demanded at the reporting date, the probability of default is usually small and the expected credit loss is immaterial as a result. If the borrower could not repay the loan if demanded at the reporting date, the group considers the expected manner of recovery to measure expected credit losses. This includes a 'repay over time' strategy.

If the recovery strategies indicate that the lender would fully recover the outstanding balance of the loan, the expected credit loss is limited to the effect of discounting the amount due on the loan (at the loan's effective interest rate, which is regarded as 0% if the loan is interest free) over the period until cash is realised. If the effective interest rate is 0%, and all strategies indicate that the lender would fully recover the outstanding balance of the loan, no impairment loss is recognised.

If the full balance of the loan cannot be recovered over time, a loss allowance is recognised in profit or loss.

Significant increase in credit risk on loans to related parties

In assessing whether the credit risk on a loan has increased significantly since initial recognition, the group compares the risk of a default occurring on the loan as at the reporting date with the risk of a default occurring as at the date of initial recognition.

The group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort. This information includes budgets and forecasts and the financial health of the entity, as well as the future prospects of the industry in which the borrower operates.

Irrespective of the outcome of the above assessment, the credit risk on a loan is always presumed to have increased significantly since initial recognition if the contractual payments are more than 30 days past due, unless the group has reasonable and supportable information that demonstrates otherwise.

Definition of default on the loans to related parties

The group considers that a default event has occurred if there is either a breach of financial covenants by the counterparty, or if internal or external information indicates that the counterparty is unlikely to pay its creditors in full (without taking collateral into account).

Irrespective of the above analysis, the group considers that default has occurred when a loan instalment is more than 90 days past due unless the group has reasonable and supportable information that demonstrates otherwise.

For loans repayable on demand the group considers that an event of default has occurred if the borrower does not repay the loan when demanded. The group writes off a loan when there is information indicating that the borrower is in severe financial difficulty and there is no realistic prospect of recovery, e.g., when the borrower has been placed under liquidation or has entered into bankruptcy proceedings.

Cash and cash equivalents

Cash and cash equivalents are classified as financial assets measured at amortised cost. Cash and cash equivalents include cash in bank.

1.6 Financial instruments (continued)

Write off policy of financial assets

The group writes off a receivable when there is information indicating that the counterparty is in severe financial difficulty and there is no realistic prospect of recovery, e.g., when the counterparty has been placed under liquidation or has entered into bankruptcy proceedings. Receivables written off may still be subject to enforcement activities under the group recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognised in profit or loss.

Financial liabilities

Trade and other payables

Trade and other payables are recognised initially at fair value and subsequently at amortised cost using the effective-interest method. Trade payables are classified as current liabilities unless the group has an unconditional right to defer settlement of the liability for at least 12 months after reporting date (refer to note 9).

Effective interest method

The effective interest method is a method of calculating the amortised cost of a financial instrument and of allocating the interest on that instrument over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the instrument.

1.7 Tax

Current tax assets and liabilities

Current tax for current and prior periods is, to the extent unpaid, recognised as a liability. If the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset.

Current tax liabilities / (assets) for the current and prior periods are measured at the amount expected to be paid to / (recovered from) the tax authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Tax expenses

Current taxes are recognised as income or an expense and included in profit or loss for the period.

Current taxes are charged or credited to other comprehensive income if the tax relates to items that are credited or charged, in the same or a different period, to other comprehensive income.

Current taxes are charged or credited directly to equity if the tax relates to items that are credited or charged, in the same or a different period, directly in equity.

The company is a Real Estate Investment Trust ("REIT") and the subsidiary in the group is a "controlled company" (as defined in the Income Tax Act). After deducting "qualifying distributions" from taxable income, income tax is payable on the income retained within the group and not distributed as a "qualifying distribution". Income tax has not been provided by the group nor the company, as there is no taxable income at year end.

1.8 Stated capital and equity

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Ordinary shares are classified as equity.

1.9 Revenue

Revenue from lease agreements – IFRS 16

Revenue comprises contractual rental income. It excludes value-added tax ("VAT").

Contractual rental income is recognised on a straight-line basis over the term of the lease taking into account fixed escalation clauses. The recognition of straight-lining impact does not affect distributable earnings.

The lease agreements relating to the Cresta Grande hotel and the Fountain's Hotel comprise a base rental or variable rental of 25% of turnover, whichever is the higher. The variable rental clause for the Cresta Grande Hotel only commences in the 2023 financial year. During the current year, variable rental was recognised for the Fountain's Hotel. Rental income received in advance is recognised as a current liability as part of trade and other payables in the statement of financial position.

Dividend income received by the company is recognised when the dividends are approved and declared by the company's investment in subsidiary.

1.10 Leases

Group as lessor

The group enters into lease agreements as a lessor with respect to its investment properties.

Leases for which the group is a lessor are classified as finance or operating leases. The group only has operating leases at year end. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

Lease payments from operating leases are recognised on a straight-line basis over the term of the relevant lease, or on another systematic basis if that basis is more representative of the pattern in which the benefits from the use of the underlying asset are diminished. Operating lease income is included in revenue (refer to note 10).

The various lease and non-lease components of contracts containing leases are accounted for separately, with consideration being allocated by applying IFRS 15.

1.11 Related parties

Individuals or entities are related parties if one party has the ability, directly or indirectly, to control or jointly control the other party or exercise significant influence over the other party in making financial and / or operating decisions. The Directors of the company are considered to be key management and consequently are related parties. Related party transactions and balances are disclosed in note 20.

1.12 Dividend distributions

Dividend distributions on ordinary shares are recognised as a liability in the consolidated and separate annual financial statements in the period in which the dividends are declared.

1.13 Segmental reporting

The principal segments of the group have been identified on a per property basis. The basis is representative of the internal structure used for management reporting.

1.14 Interest rate benchmark reform

The group acknowledges the amendments which provide temporary relief to address financial reporting effects when an interbank offered rate ("IBOR") is replaced with an alternative nearly risk-free interest rate ("RFR") ("IBOR reform") including contractual and cash flow changes to be treated as changes due to a floating rate of interest. The group does not have any loans nor any leases exposed to JIBAR linked rates.



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2. New Standards and Interpretations**2.1 Standards and interpretations effective and adopted in the current year**

No standards and interpretations that are effective have been adopted by the group as it is not applicable or relevant to the operations of the group.

2.2 Standards and interpretations not yet effective

The group has chosen not to early adopt the following standards and interpretations, which have been published and are mandatory for the group's accounting periods beginning on or after 01 January 2024 or later periods:

IAS 1 Presentation of Financial Statements

- Amendment: Classification of Liabilities as Current or Non-current:
 - Classification to be based on whether the right to defer settlement by at least twelve months exists at the end of the reporting period;
 - Classification is unaffected by expectation of settlement;
 - Settlement refers to transfer of cash-equity instruments, other assets or services; and
 - Clarifies that only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.
- Amendment: Disclosure of Accounting Policies:
 - Accounting policies to be disclosed where the information is material, by nature or amount;
 - Explains when accounting policy information is considered material; and
 - Clarifies that disclosure of an immaterial accounting policy, it must not obscure or affect other material or required disclosures.

The effective date of the amendment is for years beginning on or after 01 January 2024.

The impact of the IAS 1 amendment on the company is not expected to be material as the group do not have any significant liabilities which would be impacted by the amendment.

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Figures in Rand	Group		Company	
	12 months ended	4 months ended	12 months ended	4 months ended
	31 December 2022	31 December 2022	31 December 2022	31 December 2022

3. Investment properties

Group	2022			2021		
	Cost	Fair value Adjustment	Carrying Value	Cost	Fair value Adjustment	Carrying value
Investment properties	913,918,000	-	913,918,000	913,918,000	-	913,918,000

Reconciliation of investment properties – Group 2022

	Opening Balance	Straight-line adjustment	Fair value adjustments	Closing balance
Investment properties	913,91,000	24,375,296	(24,375,296)	913,918,000

Reconciliation of investment properties – Group 2021

	Opening Balance	Additions	Closing balance
Investment properties	-	913,918,000	913,918,000

Amounts recognised in profit and loss for the year

Rental income from Investment properties	65,453,085	-	-	-
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Refer to accounting policy note 1.4 for the nature of the investment properties being leasehold properties.

Details of investment properties**Cresta Grande**

- Purchase price:				
22 November 2021	475,923,000	475,923,000	-	-
- Straight-line adjustment	12,264,457	-	-	-
- Fair value adjustments	(12,264,457)	-	-	-
	475,923,000	475,923,000	-	-

The investment property was valued by means of the discounted cash flow methodology using a weighted discount rate of 9.87% (2021: 9.87%) and a rental growth rate of 5% (2021: 5%). The discount rate is the only significant unobservable input used in the valuation. The property has 1 tenant, therefore 100% occupied for the whole lease period. The rental escalations are fixed at 5% annually, as this is contractual escalations. No expenses have been included in the valuation as the group is not responsible for any property related expenditure. The investment property was valued internally at year end by the Directors.

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Figures in Rand	Group		Company	
	12 months ended	4 months ended	12 months ended	4 months ended
	31 December 2022	31 December 2022	31 December 2022	31 December 2022

3. Investment properties (continued)**Fountains Hotel**

- Purchase price:	309,776,000	309,776,000	-	-
22 November 2021				
- Straight-line adjustment	5,095,722	-	-	-
- Fair value adjustments	(5,095,722)	-	-	-
	309,776,000	309,776,000	-	-

The investment property was valued by means of the discounted cash flow methodology using a weighted discount rate of 9.87% (2021: 9.87%) and a rental growth rate of 5% (2021: 5%). The discount rate is the only significant unobservable input used in the valuations. The property has one tenant, therefore 100% occupied for the whole lease period. The rental escalations are fixed at 5% annually, as this is contractual escalations. No expenses have been included in the valuation as the group is not responsible for any property related expenditure. The investment property was valued internally at year end by the Directors.

Lady Hamilton

- Purchase price:	128,219,000	128,219,000	-	-
22 November 2021				
- Straight-line adjustment	7,015,117	-	-	-
- Fair value adjustments	(7,015,117)	-	-	-
	128,219,000	128,219,000	-	-

The investment property was valued by means of the discounted cash flow methodology using a weighted discount rate of 9.87% (2021: 9.87%) and a rental growth rate of 5% (2021: 5%). The discount rate is the only significant unobservable input used in the valuation. The property has one tenant, therefore 100% occupied for the whole lease period. The rental escalations are fixed at 5% annually, as this is contractual escalations. No expenses have been included in the valuation as the group is not responsible for any property related expenditure. The investment property was valued internally at year end by the Directors.

Details of valuation of investment properties

The fair value of the investment properties, which equals the carrying value, is originally based on independent property valuations. In the current year, all three properties were externally valued ahead of the listing on 1 March 2022 as detailed in the Prospectus issued by the Company. The valuation referred to above, was performed by Ryle Valuation Services, an external, independent property valuation expert, having appropriate recognised professional qualifications and recent experience in the location and category of the properties being valued.

The Directors performed an updated internal valuation of the properties at year end, which supported the independent valuation and fair value of the investment properties.

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	Group		Company	
	12 months ended	4 months ended	12 months ended	4 months ended
Figures in Rand	31 December 2022	31 December 2022	31 December 2022	31 December 2022

3. Investment properties (continued)

The fair value of investment properties is determined by utilising the discounted cash flow methodology in terms of which estimated gross income is projected for a 40 year period (39 years from the end of the current year), based on contractual arrangements and an estimated market rent upon the expiry of the leases for the period of the cash flow. No expenses were included in the valuation as the group is not responsible for any property related expenditure. No terminal value is calculated in the valuation of the investment property as the valuation is based on a fixed 40 year period (39 years from the end of the current year).

The key unobservable input to the valuation of the investment property is the discount rate.

Fair value hierarchy of investment properties at fair value through profit or loss

For assets recognised at fair value, disclosure is required of a fair value hierarchy which reflects the significance of the inputs used to make the measurements.

Level 1 represents those assets which are measured using unadjusted quoted prices for identical assets.

Level 2 applies inputs other than quoted prices that are observable for the assets either directly (as prices) or indirectly (derived from prices).

Level 3 applies inputs which are not based on observable market data. All leasehold properties in the group's portfolio are valued as per Level 3.

There were no transfers between fair value levels during the year.

Sensitivity analysis

The valuation of the leasehold property is sensitive to changes in the discount rate. Reasonably possible changes in the discount rate at year-end would have the following effect on the fair value adjustment in profit or loss:

Increase in discount rate of 0.25%	(33,416,286)	(33,416,286)	-	-
Decrease in discount rate of 0.25%	34,889,059	34,889,059	-	-
Increase in discount rate of 0.5%	(64,785,378)	(64,785,378)	-	-
Decrease in discount rate of 0.5%	72,092,241	72,092,241	-	-

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	Group		Company	
	12 months ended 31 December 2022	4 months ended 31 December 2022	12 months ended 31 December 2022	4 months ended 31 December 2022
Figures in Rand				

4. Investments in subsidiaries**Company**

Name of Company	% holding 2022	% holding 2021	Carrying Amount 2022	Carrying Amount 2021
aReit Prop Leasehold Proprietary Limited	100.00%	100.00%	-	-

aReit Prop Leasehold Proprietary Limited is incorporated in the Republic of South Africa and operates in the investment holding industry.

5. Loans to related parties

aReit Prop Leasehold Proprietary Limited	-	-	913,918,000	913,918,000
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The loan is unsecured, interest free (2021: interest free) and repayable on demand. The loan to aReit Prop Leasehold Proprietary Limited has been classified as non-current as the company does not expect to demand payment within 12 months.

New Line Investments 101 Proprietary Limited	9,978,072	-	9,978,072	-
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The loan is unsecured, interest is charged at 3.5% payable each quarter and repayable on demand.

Mr MJ Osse	-	100	-	100
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The loan was unsecured and interest free. The loan was repaid during the current financial year.

9,978,072	100	923,896,072	913,918,100
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	12 months ended	4 months ended	12 months ended	4 months ended
Figures in Rand	31 December 2022	31 December 2022	31 December 2022	31 December 2022

5. Loans to related parties (continued)**Split between non-current and current portions**

Non-current assets	-	-	913,918,000	913,918,000
Current assets	9,978,072	100	9,978,072	100
	9,978,072	100	923,896,072	913,918,000

Exposure to credit risk

Loans receivable inherently expose the group to credit risk, being the risk that the group will incur financial loss if the counterparties fail to make payments as they fall due.

The maximum exposure to credit risk is the gross carrying amount of the loans as presented above. The group does not hold collateral or other credit enhancements against the loans receivable.

No credit loss allowance was deemed necessary by management at the end of the current financial year for the loans as management assessed the loans as fully recoverable.

Credit quality - Management reviewed the credit risk at period-end and determined the credit risk has not significantly increased from initial recognition with a low risk of default in the next 12 months. ECLs for the 12-month period have been determined as below:

The loan to aReit Prop Leasehold Proprietary Limited is supported by the leasehold rights, which is supported by the fair value thereof. ECLs are limited to the 12-month ECLs. Credit losses on the outstanding capital are not expected as the value of the entity's underlying assets consists of leasehold properties which would be sufficient to recover the loan balance over time, as the valuation of the underlying investment properties approximates the loan balance including other liabilities within the entity. The loan to New Line Investments 101 Proprietary Limited balance at year end will be recovered through the dividend distributions during the forthcoming year. Similarly, credit losses are not expected.

The expected period of recovery has not changed from what was originally anticipated and therefore no impairment on the loans has been identified. The loans have therefore been assessed as performing and no impairment has been recognised. Between balance sheet date and the date on which the financial statements were signed there have been no indications or events that have increased the ECL risk.

The group's exposure to credit risk is disclosed in note 21.

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	12 months ended	4 months ended	12 months ended	4 months ended
Figures in Rand	31 December 2022	31 December 2022	31 December 2022	31 December 2022

6. Trade and other receivables**Non-financial instruments:**

Value Added taxation	57,371	-	57,371	-
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7. Cash and cash equivalents

Cash and cash equivalents consist of:

Bank balances	1,068	-	1,068	-
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Fair value of cash and cash equivalents

Due to the short-term nature of cash and cash equivalents, the carrying amount is deemed to approximate fair value.

Credit quality of cash and cash equivalents

Bank balances are held with Standard Bank Limited. The long-term local currency issuer default rating was obtained and noted interest to be BB+. Risks on South African banks are considered negligible as all cash deposits are guaranteed by the South African Reserve Bank and banks are financially sound.

Refer to the financial risk management, note 21, for how the group manages credit risk.

8. Stated capital**Authorised**

1,000,000,000 Ordinary shares of no par value	-	-	-	-
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Reconciliation of number of shares issued

Balance at the beginning of the year	100,000,000	100	100,000,000	100
Ordinary shares issued during the year	-	99,999,900	-	99,999,900
Balance at the end of the year	100,000,000	100,000,000	100,000,00	100,000,000

Issued

100,000,000 Ordinary shares of no par value	917,000,100	917,000,100	917,000,100	917,000,100
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900,000,000 (2021: 900,000,000) unissued ordinary shares are under the control of the Directors in terms of a resolution of shareholders passed at the last annual general meeting. This authority remains in force until the next annual general meeting.

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	12 months ended	4 months ended	12 months ended	4 months ended
	31 December 2022	31 December 2022	31 December 2022	31 December 2022

8. Stated capital (continued)

Weighted average number of ordinary shares in issue during the year: 100,000,000 shares (2021: 877,292 shares).

Diluted weighted average number of ordinary shares at the end of the year: 100,000,000 shares (2021: 877,292 shares).

As detailed in the Company's Prospectus, the vendors made shares available in order to meet the shareholder spread requirements of the JSE ahead of listing and no new shares were issued. No shares were repurchased during the year under review.

Weighted number of shares

Balance at the beginning of the year	100,000,000	100	-	-
Ordinary shares issued at end of prior year – weighted	-	877,192	-	-

Weighted average number of ordinary shares in issue during the year	100,000,000	877,292	-	-
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Diluted weighted average number of shares

Weighted average number of ordinary shares in issue during the year	100,000,000	877,292	-	-
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Diluted weighted average number of shares at the end of the year	100,000,000	877,292	-	-
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9. Trade and other payables**Financial instruments**

Trade payables	433,172	-	433,172	-
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Fair value of trade and other payables

Trade and other payables are carried at amortised cost, with the fair value being approximated by such carrying value, due to their short-term nature. Trade and other payables are shown as current liabilities on the statement of financial position.

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	Group		Company	
	12 months ended	4 months ended	12 months ended	4 months ended
Figures in Rand	31 December 2022	31 December 2022	31 December 2022	31 December 2022

10. Revenue**Revenue from contractual lease agreements**

Fixed rental income	64,335,296	-	-	-
Variable rental	1,117,789	-	-	-
	65,453,085	-	-	-

Investment revenue

Dividends received	-	-	41,077,789	-
	65,453,085	-	41,077,789	-

Timing of revenue recognition

Straight-line basis	65,453,085	-	-	-
At a point in time	-	-	41,077,789	-
	65,453,085	-	41,077,789	-

Operating leases – as lessor (income)**Minimum future contractual rental**

- Within one year	41,958,000	39,960,000	-	-
- In second to fifth year inclusive	189,886,436	180,844,224	-	-
- Later than five years	933,635,875	984,636,086	-	-
	1,165,480,311	1,205,440,310	-	-

Minimum lease payments comprise contractual rental income, excluding the straight-line lease adjustments. The lease terms range between five and twenty years with annual escalations being 5%. The comparative information for the prior period has been restated to align with the contractual terms.

11. Fair value adjustments

Investment properties	24,375,296	-	-	-
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	Group		Company	
	12 months ended	4 months ended	12 months ended	4 months ended
Figures in Rand	31 December 2022	31 December 2022	31 December 2022	31 December 2022

12. Operating profit (loss)

Operating profit (loss) for the year is stated after accounting for the following:

Employee Costs

Director's fees	950,000	-	950,000	-
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Other expenses

Audit fees	307,075	-	307,075	-
Listing costs	-	3,082,000	-	3,082,000

13. Investment income**Interest income**

Loan to related parties	372,795	-	372,795	-
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14. Finance costs

Other interest	1,458	-	1,458	-
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15. Taxation

The company is a REIT as defined in the Income Tax Act. After deducting the "qualifying distribution", being 100% of distributable profit from taxable income, no income tax was payable. The company has no liability for normal taxation as all taxable profits, excluding capital, are paid out as a distribution (qualifying distribution) and shareholders are consequently subject to tax according to the individual or company which are holding the shares.

Tax rate reconciliation:

Profit/(loss) before tax	39 597 993	-3 082 000	39 597 993	-3 082 000
Statutory tax at 28%	11 087 438	-862 960	11 087 438	-862 960
Non-deductible expenditure - Fair value adjustment	6 825 083	-	6 825 083	-
Other non-deductible expenditure	-	862 960	-	862 960
Non-taxable income - straight line adjustment	-6 825 083	-	-6 825 083	-
s25BB Deduction	-11 087 438	-	-11 087 438	-
Effective tax	-	-	-	-

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Profit/loss) before taxation	39,597,993	(3,082,000)	39,597,993	(3,082,000)
Adjustments for:				
Interest received	(372,795)	-	(372,795)	-
Finance costs	1,458	-	1,458	-
Fair value adjustments	24,375,296	-	-	-
Straight-line rental income adjustment	(24,375,296)	-	-	-
Dividends received	-	-	(41,077,789)	-
Expenditure paid by shareholder on behalf of company	1,467,175	-	1,467,175	-
Rental income – non-cash	(41,077,789)	-	-	-
Expenses paid by shareholder – non-cash		3,082,000		3,082,000
Changes in working capital				
Trade and other receivables	(57,371)	-	(57,371)	-
Trade and other payables	433,172	-	433,172	-
	(8,157)	-	(8,157)	-

NB: Refer to note 18 for details regarding the non-cash movements.

17. Director's emoluments**Executive****2022**M E Jaspers
A H Ismail

Basic salary	Total
300,000	300,000
300,000	300,000
600,000	600,000

Non-executiveJ M J Osse
F Noordien
S D Chase
J A Kruger

Fees for services	Total
100,000	100,000
100,000	100,000
100,000	100,000
50,000	50,000
350,000	350,000

No emoluments were paid to the Directors or any individuals holding a prescribed office during the prior year. The basic salary earned by the executive Directors are short-term in nature. No Directors had any contracts or dealings with the group during the current year.

18. Changes in assets arising from investing activities**Reconciliation of assets arising from investing activities – Group – 2022**

	Opening balance	Cash receipts	Interest income	Non-cash Debt Movements	Non-cash Credit Movements	Closing balance
Loan to shareholder	-	(9,441)	372,795	41,082,330	(31,467,612)	9,978,072

There were no assets arising from investing activities for the group in the prior year.

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NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS**Figures in Rand****18. Changes in assets arising from investing activities (continued)****Reconciliation of assets arising from investing activities - Company - 2022**

	Opening balance	Cash receipts	Interest income	Non-cash Debit Movements	Non-cash Credit Movements	Closing balance
Loan to group company	913,918,000	-	-	41,077,789	(41,077,789)	913,918,000
Loan to shareholder	-	(9,441)	372,795	41,082,330	(31,467,612)	9,978,072
Total assets from investing activities	913,918,000	(9,441)	372,795	82,160,119	(72,545,401)	923,896,072

Reconciliation of assets arising from investing activities - Company - 2021

	Opening Balance	Non-cash Debit Movement	Closing balance
Loan to group company	-	913,918,000	913,918,000

The non-cash movements relate to rental income received on behalf of the group, operating expenses paid on behalf of the group and dividends declared from investment in subsidiary to the company and from the company to its shareholder which is New Line Investments 101 Proprietary Limited, and then distributed from New Line Investments to the relevant shareholders. The above relates to the group and company for the current year.

In terms of the prior year, the non-cash debit movement relates to the disposal of the leasehold rights to its investment in subsidiary company.

19. Cash flow statement

No cash flow statement has been presented for the group and company for the prior period as they did not operate a bank account.

20. Related parties**Relationships**

Majority shareholders

New Line Investments 101 Proprietary Limited
Leisure Investment Trust
Tulip Trust

The bare dominium over the properties held on a leasehold basis
by the group are owned by the 3 shareholders above.

Subsidiary

aReit Prop Leasehold Proprietary Limited

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Figures in Rand	31 December 2022	31 December 2022	31 December 2022	31 December 2022

20. Related parties (continued)

Members of key management	M E Jaspers A H Ismail J M J Osse F Noordien S D Chase J A Kruger
Director with indirect controlling shareholding	JMJ Osse

JMJ Osse's controlling shareholding in aReit is through his control and/or beneficial interest in New Line Investments 101 Proprietary Limited, Leisure Investment Trust and Tulip Trust.

With effect from 31 December 2022, which agreement was conditional of the listing, the leasehold rights were sold to the Company's subsidiary, aReit Prop Leasehold Proprietary Limited through a loan which has a value at year-end of R913 918 000. This loan is eliminated at consolidated level. As noted below, Group's related parties increased significantly compared to the prior year as a result of the loan arising from New Line Investments 101 Proprietary Limited continuing to collect rental income whilst aReit Prop Leasehold secures a VAT registration number as previously announced.

In the current year the Group also paid directors fees to its non-executive directors as well as salaries to its Executive Directors.

As announced on SENS on 14 April 2022, a related party loan arose with Newline Investments 101 Proprietary Limited, which is recovered through the dividend distributions to its shareholders, which are all administrated in one loan account with New Line Investments 101 Proprietary Limited. The loan arose as the acquisition agreement was conditional on the listing of the Group and thus the vendors continued to collect rental income on behalf of aReit Prop. This loan is in the name of aReit Prop Limited (company).

Subsequent to year end, rentals will be collected directly by aReit Prop following the completion of the VAT registration, which process took much longer than expected. The loan bears interest at 3.5%.

Related party balances**Loan accounts - Owing (to) by related parties**

aReit Prop Leasehold Proprietary Limited	-	-	913,918,000	913,918,000
New Line Investments 101 Proprietary Limited	9,978,072	100	9,978,072	100

Refer to note 5 for the terms and conditions.

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Figures in Rand	31 December 2022	31 December 2022	31 December 2022	31 December 2022

Related party transactions**Interest received from related party**

New Line Investments 101 Proprietary Limited	372,795	-	372,795	-
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Key management compensation

Members of key management	950,000	-	950,000	-
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There were no new related party contracts entered into during the year under review.

21. Financial instruments and risk management**Categories of financial instruments****Categories of financial assets****Group – 2022**

	Notes	Amortised Cost	Total	Fair Value
Loan to related party	5	9,978,072	9,978,072	9,978,072
Cash and cash equivalents	7	1,068	1,068	1,068
		9,979,140	9,979,140	9,979,140

Group - 2021

	Notes	Amortised Cost	Total	Fair Value
Loan to related party	5	100	100	100

Company – 2022

	Notes	Amortised Cost	Total	Fair Value
Loans to related parties	5	923,896,072	923,896,072	923,896,072
Cash and cash equivalents	7	1,068	1,068	1,068
		923,897,140	923,897,140	923,897,140

Company – 2021

	Notes	Amortised Cost	Total	Fair Value
Loan to related party	5	913,918,100	913,918,100	913,918,100

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NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS**Figures in Rand****21. Financial instruments and risk management (continued)****Categories of financial liabilities****Group – 2022**

	Notes	Amortised Cost	Total	Fair Value
Trade and other payables	9	433,172	433,172	433,172

Group – 2021

	Notes	Amortised Cost	Total	Fair Value
Trade and other payables	9	-	-	-

Company – 2022

	Notes	Amortised Cost	Total	Fair Value
Trade and other payables	9	433,172	433,172	433,172

Company – 2021

	Notes	Amortised Cost	Total	Fair Value
Trade and other payables	9	-	-	-

Capital risk management

Capital is regarded as total equity. The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence, to sustain future developments of the business and ensure the group will continue as a going concern whilst maximising returns to shareholders.

The level of dividends paid by the group is determined with reference to the liquidity and solvency of the group as well as consideration of forecasts and the fact that the group is a registered REIT. The group aims to declare 100% of its taxable earnings.

There are no externally imposed capital requirements.

The Board of Directors monitors the return on capital, which the group defines as profit divided by total equity on a continuous basis. The group maximizes the return on capital by ensuring all lease agreements have an escalation rate of at least 5%, keeping operating expenses to a minimum and including variable rental clauses in the rental agreements to ensure the group has upside potential in terms of rental earnings.

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Figures in Rand

21. Financial instruments and risk management (continued)**Financial risk management****Overview**

The group is exposed to the following risks from its use of financial instruments:

- Credit risk;
- Liquidity risk; and
- Market risk.

The Board has the overall responsibility for the establishment and oversight of the group's risk management framework.

The group's risk management policies are established to identify and analyse the risks faced by the group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the group's activities.

Credit risk

Credit risk is the risk of financial loss to the group if a counterparty to a financial instrument fails to meet its contractual obligations and credit risk arises principally from the group's loans to group companies and cash balances.

Loans receivable

The group's exposure to credit risk on loans receivable is influenced by the underlying value of the asset as well as the future distribution of dividends. The entities to whom loans have been advanced do not have highly liquid assets. Recovery of the loan is assessed based on the long-term strategy of recovery based on the value of the underlying asset for which the loan has been advanced. Management assesses the recoverability of loans receivable by reference to the underlying assets of the borrower. In terms of the loan advanced to aReit Prop Leasehold Proprietary Limited, the underlying asset is the leasehold rights which is held by the company. The fair value of the leasehold rights approximates that of the loan.

The loan advanced to New Line Investments 101 Proprietary Limited, is, and will be, recovered through the dividend distributions throughout the year.

The value of the underlying asset is adjusted with market information to identify any decrease in value in future which can impact the recoverability of the loan. The impairment of the loan also takes into consideration a change in the expected timing of recovery of the loan. The maximum exposure to credit risk is limited to the total carrying value of the loan receivable as at the reporting date.

Bank balances

The group only deposits cash with major banks with high quality credit standing and limits exposure to any one counterparty. Refer to note 7 regarding the credit rating details.

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The maximum exposure to credit risk is presented in the table below:

Group	Notes	2022			2021		
		Gross Carrying Amount	Credit Loss Allowance	Amortised Cost	Gross Carrying Amount	Credit Loss Allowance	Amortised cost
Loan to related party	5	9,978,072	-	9,978,072	100	-	100
Cash and cash equivalents	7	1,068	-	1,068	-	-	-
		9,979,140	-	9,979,140	100	-	100

Company	Notes	2022			2021		
		Gross Carrying Amount	Credit Loss Allowance	Amortised Cost	Gross Carrying Amount	Credit Loss Allowance	Amortised cost
Loan to related party	5	923,896,072	-	923,896,072	913,918,100	-	913,918,100
Cash and cash equivalents	7	1,068	-	1,068	-	-	-
		923,897,140	-	923,897,140	913,918,100	-	913,918,100

Liquidity risk

Liquidity risk is the risk that the group will not be able to meet its financial obligations as they fall due. The group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the group's reputation.

Responsibility for liquidity risk management rests with the Directors, who monitor the group's short, medium and long-term funding and liquidity management requirements. Typically, the group ensures that it has sufficient cash on demand to meet expected operational expenses, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters. The group ensures there is sufficient cash on demand through operating profits. The group does not have any external borrowings at year end. The group currently manages its cash flows by means of the loan with its shareholder, New Line Investments 101 Proprietary Limited which currently pays the majority of the group's expenditure and also receives the rental on behalf of the group. The table below analyses the group's financial liabilities into relevant maturity groupings based on the remaining period at the statement of financial position to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances as the impact of discounting is not significant.

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	Notes	Less than 1 year	Total	Carrying amount
Current liabilities				
Trade and other payables	9	433,172	433,172	433,172

Group – 2021

	Notes	Less than 1 year	Total	Carrying amount
Current liabilities				
Trade and other payables	9	-	-	-

Company – 2022

	Notes	Less than 1 year	Total	Carrying amount
Current liabilities				
Trade and other payables	9	433,172	433,172	433,172

Company – 2021

	Notes	Less than 1 year	Total	Carrying amount
Current liabilities				
Trade and other payables	9	-	-	-

Market risk

Market risk is the risk that changes in market prices, such as interest rates and equity prices will affect the group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising returns.

Currency risk

The group has no significant exposure to currency risk.

Interest rate risk

Interest rate risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate as a result of changes in interest rates.

The group's interest rate risk arises from cash and cash equivalents, which bear interest at variable rates and expose the group to cash flow interest rate risk. The loan to New Line Investments 101 Proprietary Limited bears interest at a fixed rate, therefore the loan is not exposed to interest rate risks. Refer to note 5 for more details.

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	12 months ended	4 months ended	12 months ended	4 months ended
	31 December 2022	31 December 2022	31 December 2022	31 December 2022

22. Financial instruments and risk management (continued)

A decrease of 100 basis points in interest rates at the reporting date would have decreased equity and profit or loss after tax by the amount of R11 (2021: R Nil) for the group and company. An increase of 100 basis points will have the same but opposite effect. This analysis assumes that all other variables remain constant. The analysis is performed on the same basis as the prior year.

21. Going concern

The Directors believe that the group has adequate financial resources to continue in operation for the foreseeable future and accordingly the annual financial statements have been prepared on a going concern basis.

The annual financial statements contained in this annual report have been prepared on a going concern basis as the Directors have every reason to believe that the group has adequate resources to continue in operation for the year ahead.

The Directors are not aware of any material non-compliance with statutory or regulatory requirements or of any pending changes to legislation which may affect the group.

22. Events after the reporting period

The Directors are not aware of any material reportable event affecting the consolidated and separate annual financial statements which occurred after the reporting date and up to the date of this report

23. Dividend distributions

Total number of shares	100,000,000	-	100,000,000	-
Dividends declared during year	29,994,754	-	29,994,754	-

The following distributions were paid to the shareholders and capitalised to the loan account:

Distribution paid (cents per share)	29.99	-	29.99	-
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Dividend distributions paid to shareholders holding greater than 20% of the issued share capital of the company:

Number of shares	79,111,843	-	79,111,843	-
Total distributions paid	23,729,403	-	23,729,403	-

24. Earnings (loss) and net asset value per share

Net asset value per share (cents)	923.52	913.92	-	-
Basic earnings (loss) per share (cents)	39.60	(351.31)	-	-
Diluted earnings (loss) per share (cents)	39.60	(351.31)	-	-

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Financial Statements for the year ended 31 December 2022

NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

	Group		Company	
	12 months ended	4 months ended	12 months ended	4 months ended
Figures in Rand	31 December 2022	31 December 2022	31 December 2022	31 December 2022

The calculation of net asset value per share is based on 100,000,000 ordinary shares in issue at year end 100,000,000 (2021: 100,000,000) and the total equity attributable to ordinary shareholders of R923,521,339 (2021: R 913,918,100).

The calculation of basic earnings per share is based on the weighted average number of 100,000,000 ordinary shares in issue during the year (2021: 877,292) and a profit attributable to ordinary shareholders of R39,597,993 (2021: loss of R3,082,000).

The calculation of diluted earnings per share is the same as the earnings per share calculation, as nothing occurred in the current year which had a diluted impact on the shares issued.

25. Basic and headline per share

Number of shares in issue at end of period	100,000,000	100,000,000	-	-
Weighted average number of shares in issue	100,000,000	877,292	-	-
Diluted weighted average number of shares in issue	100,000,000	877,292	-	-
Earnings/(loss) attributable to owners of the parent	39,597,993	(3,082,000)	-	-
Basic earnings/(loss) per share (cents)	39.60	(351.31)	-	-
Diluted earnings/(loss) per share (cents)	39.60	(351.31)	-	-

Headline earnings per share

Reconciliation between basic earnings and headline earnings

Earnings (loss) attributable to owners of the parent	39,597,993	(3,082,000)	-	-
Fair value adjustment	24,375,296	-	-	-
Headline earnings/(loss)	63,973,289	(3,082,000)	-	-

Headline earnings per share

Headline earnings/(loss) per share	63.97	(351.31)	-	-
Diluted headline earnings/(loss) per share	63.97	(351.31)	-	-

The calculation of headline earnings per share is based on the weighted average number of 100,000,000 (2021: 877,292) ordinary shares in issue during the year.

The calculation of diluted headline earnings per share is the same as the headline earnings per share calculation, as nothing occurred in the current year which had a diluted impact on the shares issued.

AREIT PROP LIMITED AND ITS SUBSIDIARIES

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NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

Figures in Rand	Group		Company	
	12 months ended	4 months ended	12 months ended	4 months ended
	31 December 2022	31 December 2022	31 December 2022	31 December 2022

26. Segmental information

Segments are reported in a manner that is consistent with the internal reporting provided to the executive committee, which comprises all the Directors of the group. The executive committee regularly reviews the operating results of the group's operating segments which are based on a per property basis. The segments drive their revenue primarily from rental income from leases.

All expenses that are not specifically attributable to individual properties are included in the head office segment.

The group comprises the following main reportable operating segments

2022	Cresta Grand Hotel	Fountains Hotel	Lady Hamilton Property	Head Office	Total
Revenue	18,960,000	13,200,000	7,800,000	-	39 960 000
Straight-line adjustment	12,264,457	5,095,722	7,015,117	-	24 375 296
Variable rental	-	1,117,789	-	-	1 117 789
Fair value adjustments	(12,264,457)	(5,095,722)	(7,015,117)	-	(24 375 296)
Investment income	-	-	-	372 795	372 795
Other operating expenses	-	-	-	(1 851 133)	(1 851 133)
Finance cost	-	-	-	(1 458)	(1 458)
Profit/(loss) before tax	18,960,000	14,317,789	7,800,000	(1,479,796)	39 597 993
Tax	-	-	-	-	-
Profit/(loss) after tax	18,960,000	14,317,789	7,800,000	(1,479,796)	39 597 993
Investment property	475,923,000	309,776,000	128,219,000	-	913 918 000

The revenue for the Cresta Grande Hotel comprises R18 million for the lease of the hotel property and R960 000 for the billboard lease on the top of the property.

2021	Cresta Grand Hotel	Fountains Hotel	Lady Hamilton Property	Head Office	Total
Other operating expenses	-	-	-	(3,082,000)	(3,082,000)
Loss before tax	-	-	-	-	(3,082,000)
Tax	-	-	(3,082,000)	-	-
Loss after tax	-	-	-	(3,082,000)	(3,082,000)
Investment property	475,923,000	309,776,000	128,219,000	-	913 918 000

The total revenue as disclosed in this note represents the total revenue of one tenant per property, as each property only has one tenant.

AREIT PROP LIMITED AND ITS SUBSIDIARIES

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NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

Figures in Rand	Group		Company	
	12 months ended	4 months ended	12 months ended	4 months ended
	31 December 2022	31 December 2022	31 December 2022	31 December 2022

27. Segmental information (continued)**Cresta Grande - Purchase date: 31 December 2021**

Purchase price	475,923,000
Straight-line adjustment	12,264,457
Fair value adjustment	(12,264,457)
Total value	475,923,000

Fountains Hotel – Purchase date: 31 December 2021

Purchase price	309,776,000
Straight-line adjustment	5,095,722
Fair value adjustment	(5,095,722)
Total value	309,776,000

Lady Hamilton – Purchase date: 31 December 2021

Purchase price	128,219,000
Straight-line adjustment	7,015,117
Fair value adjustment	(7,015,117)
Total value	128,219,000

28. Property Analysis**Sectoral profile:**

Sector	By GLA	By Rental Revenue
	%	%
Hospitality	85.5%	80.0%
Medical	14.5%	20.0%
Total	100.0%	100%

In addition to the above, there is a billboard on top of the Cresta Grande Hotel, which has been leased to Supasite for R960 000 per annum for 10 years, with a 10-year renewal option.

Geographic profile:

The three properties are all located in the Western Cape.

Tenant profile:

Sector	By GLA
A	85.5%
B	14.5%
C	0.0%
Total	100.0%

The above tenant profile excludes the lease with Supasite.

AREIT PROP LIMITED AND ITS SUBSIDIARIES

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NOTES TO THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS**28. Property Analysis (continued)**

For the tenant profile table, the following key is applicable:

- A Large National or International Tenants, and where parent guarantees have been secured. These comprise Cresta Hotels, which leases the Cresta Grande Hotel and Afrirent, which leases the Fountains Hotel. Cresta Hotels is part of a large international company whilst Afrirent is a medium to large private company operating throughout Southern Africa in the car rental and tourism sectors.
- B Smaller companies owned by professionals, which comprises Suncare, which leases the Lady Hamilton for medical suites.
- C Other local tenants and sole proprietors.

Lease expiry profile

The annual lease expiry profile based on existing leases, excluding Supasite, is set out below:

	Sector	Total GLA (%)	By Rental Revenue (%)
Vacant		-	-
December 2023		-	-
December 2024		-	-
December 2025		-	-
December 2026	Medical	14.5	20%
December 2027		-	-
December 2028		-	-
December 2029		-	-
December 2030		-	-
December 2031	Hospitality	85.5	80%
Total		100.0	100.0

There is no historical average annualised property yield information for aReit. A summary is set out below:

Sector	GLA	Revenue	Lease expiry profile	Weighted average rental per m²	Weighted average escalation
Hospitality					
- Cresta Hotels	13 610	18 000 000	30 March 2031	110.21	5%
- Supasite	Note 1	960 000	31 December 2031	6.25	5%
- Afrirent	5 415	13 200 000	31 December 2031	203.14	5%
Sub-total	19 025	32 160 000			
Medical	3 236	7 800 000	31 August 2026	200.87	5%
Sub-total	3 236	7 800 000		200.87	5%
Total	22 261	39 960 000		149.82	5%

Notes:

- GLA is not applicable as rental income is for a billboard on top of the Cresta Grande Hotel.

Vacancy profile:

All the above properties are fully occupied and there are no vacancies.

AREIT PROP LIMITED AND ITS SUBSIDIARIES

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

APPENDIX 1**SA REIT BEST PRACTICE DISCLOSURE**

The principles encompassed in the calculations below are aligned with Best Practices Recommendations (BPR) by the South African REIT (SA REIT) Association published in 2019 and do not comply with IFRS.

Reconciliation between earnings and distributable earnings

The Company has established strict guidelines regarding its distribution policy to ensure that the distributable earnings are a fair reflection of sustainable earnings, taking into account administration costs. It is noted that the Company does not incur any material property related expenses or interest expenses at present.

SA REIT Funds From Operations (FFO)

A reconciliation of the distributable profit for the year ended 31 December 2022 is set out below:

Figures in Rand	31 December 2022
Profit for the year	39 597 993
Adjustments	
- Straight-lining operating lease adjustment	(24 375 296)
- Fair value adjustment	24 375 296
Distributable Profit (SA REIT FFO)	39 597 993
Dividend distribution during the year under review	29 994 754
Percentage distribution during the year	75.75%
Cents per share	29.99475
Number of shares in issue	100 000 000

There are no treasury shares in issue.

Distributions declared and paid during the year under review:

	R	Cents per share
Quarter 1, paid in Quarter 2	10 705 249	10.70524
Quarter 2, paid in Quarter 3	9 642 385	9.64238
Quarter 3, paid in Quarter 4	9 647 120	9.64712
Total	29 994 754	29.99475

The intention of the Board is to declare 100% of its distributable profit for the year ended 31 December 2022 and the final dividend announcement and salient dates will be announced on SENS during May 2023.

SA REIT Net Asset Value (NAV)

	2022 R	2021 R	2022 Cents per share	2021 Cents per share
Net asset value based on 100 000 000 shares in issue	923 521 339	913 918 100	923.52	913.92

SA REIT Cost to Income Ratio

The contractual rental income per IFRS (excluding straight lining income) was R41 007 789 and operating expenses for the year under review were R1 851 133 (2021: R3 082 000), which results in a cost to income ratio of 4.51%. The percentage of distributable income distributed to 31 December 2022 was 75.75%.

AREIT PROP LIMITED AND ITS SUBSIDIARIES

(Registration Number 2021/837953/06)

Financial Statements for the year ended 31 December 2022

ANALYSIS OF SHAREHOLDERS

Register date: 31 December 2022: Issued share capital: 100,000,000 shares

SHAREHOLDERS ANALYSIS AND INFORMATION

	No. of Holders	No. of Shares	% Holding
Individuals	55	492 849	0.49%
Nominees and Trusts	-	-	-
Close Corporations	-	-	-
Companies, Financial Institutions	12	99 507 151	99.51%
Total shareholders	67	100 000 000	100.00%

Size of Shareholding	No. of Holders	No. of Shares	% Holding
1 – 1 000	26	10 458	0.01%
1 001 – 10 000	23	98 640	0.10%
10 001 – 100 000	11	326 541	0.33%
100 001 – 1 000 000	4	952 518	0.95%
1 000 001 and over	3	98 611 843	98.61%
Total shareholders	67	100 000 000	100.00%

CATEGORIES OF SHAREHOLDERS - PUBLIC VS NON-PUBLIC

Shareholder	No. of Holders	No. of Shares	% Holding
Public	66	20 888 157	20.89%
Non-Public			
Directors and Associates			
New Line Investments 101 (Pty) Ltd (Associate of directors)	1	79 111 843	79.11%
Others			
Other shareholders holding more than 10% of total issued capital	-	-	-
Total shareholders	67	100 000 000	100.00%

SHAREHOLDERS HOLDING MORE THAN 5%

Shareholder per share register	No. of Shares	% Holding
New Line Investments 101 (Pty) Ltd (Note 1)	79 111 843	79.11%
Computershare Investor Services (Pty) Ltd	9 900 000	9.90%
Redcore Hospitality Holdings (Pty) Ltd	9 600 000	9.60%
Total shareholders	98 611 843	98.61%

Note 1:

The shareholding in New Line Investments 101 (Pty) Ltd is held for the benefit of three shareholders as follows:

Shareholder	No. of Shares	% Holding
New Line Investments 101 (Pty) Ltd	37 914 375	47.93%
Tulip Trust	20 598 734	26.04%
Leisure Investments Trust	20 598 734	26.04%
Total shareholders	79 111 843	79.11%

The above shareholding is effectively held by the Osse Family Trust (80%) and the Jaspers Trust (20%).



AREIT PROP LIMITED

Incorporated in the Republic of South Africa)

(Registration number 2021/837953/06)

("AREIT" or "the Company" or
"the Group")

Directors

J M J Osse (Chairman)*

M E Jaspers (Chief Executive Officer)

A H Ismail (Financial Director)

S Chase*#

J Kruger*#

F Noordien*#

*Non-executive, #Independent

NOTICE OF ANNUAL GENERAL MEETING OF THE SHAREHOLDERS OF THE COMPANY

Notice is hereby given that the Annual General Meeting ("**AGM**") of shareholders of the Company will be held at 10:00 on Monday, 19 June 2023, to pass, with or without modifications, the resolutions set out below.

The AGM will be conducted entirely by electronic communication as contemplated in Section 63(2)(a) of the Companies Act, 2008. Shareholders or their proxies may only participate in the AGM by way of electronic participation.

Record Date to Attend and Vote at the AGM

The Board has determined, in terms of section 62(3)(a), as read with sections 59(1)(a) and (b) of the Companies Act, the following dates in respect of the AGM.

2023	
Record date for determining those shareholders entitled to receive the notice of AGM	Friday, 5 May
Last day to trade in order to be eligible to participate in, and vote at the AGM	Tuesday, 6 June
Record date (for voting purposes at the AGM)	Friday, 9 June

Who May Attend

1. If you are the registered holder of certificated shares or you hold dematerialised shares with "own name" registration:
 - you may attend the AGM in person; or
 - you may appoint a proxy to represent you at the AGM by completing the attached form of proxy in accordance with the instructions contained therein and by returning it to the transfer secretaries, being Computershare Investor Services Proprietary Limited, ("**Transfer Secretary**") to be received no later than 10:00 on Wednesday, 14 June 2023;
 - A proxy need not be a shareholder of the Company.

Certificated shareholders or own-name dematerialised shareholders may attend and vote at the AGM, or alternatively appoint a proxy to attend, speak and, in respect of the applicable resolutions, vote in their stead by completing the attached form of proxy and returning it to the Transfer Secretary at Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196, or posting to the Transfer Secretary at Private Bag X9000, Saxonwold, 2132, to be received by no later than 10:00 on Wednesday, 14 June 2023.

Computershare Investor Services Proprietary Limited

Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196
(Private Bag X9000, Saxonwold, 2132)

2. If you hold dematerialised shares which are not registered in your name:
- and you wish to attend the AGM, you must obtain the necessary Letter of Representation from your Central Securities Depository Participant ("**CSDP**") or broker or nominee (as the case may be); or
 - if you do not wish to attend the AGM but would like your vote to be recorded at the meeting, you should contact your CSDP or broker or nominee (as the case may be) and furnish them with your voting instructions; and
 - you must not complete the attached proxy form.

Electronic Participation at the AGM

In accordance with the provisions of section 61(10) of the Companies Act, No. 71 of 2008 ("**the Companies Act**"), the Company intends to make provision for shareholders and their proxies to participate in the AGM by way of a telephone or video conference call. Shareholders wishing to do so:

- must contact the Company Secretary at +27 11 480 8500 by not later than 10:00 on Wednesday, 14 June 2023, to obtain a personal identification number (PIN) and dial-in details for the video conference call;
- will be required to provide reasonably satisfactory identification;
- will be billed separately by their own telephone service providers for the telephone call to participate in the AGM; and
- must submit their voting proxies to the Transfer Secretary at Computershare Investor Services Proprietary Limited, Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196 (Private Bag X9000, Saxonwold, 2132) (Tel: (086) 110 0933) by no later than 10:00 on Wednesday, 14 June 2023. No changes to voting instructions after this time and date can be accepted, unless the Chairman of the meeting is satisfied as to the identification of the electronic participant.

Purpose of the AGM

The purpose of the AGM is to present to the shareholders of the Company:

- the Group audited financial statements for the Year ended 31 December 2022;
- the directors' report;
- the report of the Audit and Risk Committee;
- the report of the Social and Ethics Committee; and
- to deal with any other business that may lawfully be dealt with at the AGM, and to consider and, if deemed fit, to pass, with or without modification, the resolutions set out below:

ORDINARY RESOLUTIONS:

1. ORDINARY RESOLUTION NUMBER 1 – PRESENTATION AND ACCEPTANCE OF ANNUAL FINANCIAL STATEMENTS

“RESOLVED THAT the consolidated annual financial statements for the year ended 31 December 2022, including the directors' report, the independent auditors' report, the Audit and Risk Committee report, and the Social and Ethics Committee report thereon, be and are hereby received and accepted.”

Explanatory Note:

Ordinary resolution number 1 is proposed to receive and accept the Group audited annual financial statements for the Year ended 31 December 2022, including the directors' report, the independent auditors' report, the Audit and Risk Committee report and the Social and Ethics Committee report thereon. In order for this ordinary resolution to be adopted, the support of more than 50% of the voting rights exercised on the resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolution is required.

2. ORDINARY RESOLUTION NUMBER 2 – INTERIM DIRECTOR APPOINTMENT – JASON KRUGER

“RESOLVED THAT Mr Jason Kruger, who being eligible, offers himself for election as a director of the Company, be and is hereby approved.”

Mr Jason Kruger *curriculum vitae* is set out on page 7 of this Integrated Annual Report.

Explanatory note for ordinary resolution number 2

In accordance with the MOI of the Company, one-third of the non-executive directors for the time being are required to retire at each meeting and may offer themselves for re-election.

In order for this resolution to be adopted, the support of more than 50% of the voting rights exercised on this resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolutions is required.

3. ORDINARY RESOLUTION NUMBER 3 – DIRECTOR RETIREMENT AND RE-ELECTION – JACQUES OSSE

RESOLVED THAT Mr Jacques Osse, who retires in terms of the Company's MOI and, being eligible, offers himself for re-election as a director of the Company, be and is hereby approved.”

Mr Jacques Osse *curriculum vitae* is set out on page 6 of this Integrated Annual Report.

Explanatory note for ordinary resolution number 3

In accordance with the MOI of the Company, one-third of the non-executive directors for the time being are required to retire at each meeting and may offer themselves for re-election.

In order for this resolution to be adopted, the support of more than 50% of the voting rights exercised on this resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolutions is required.

4. ORDINARY RESOLUTION NUMBER 4 – DIRECTOR RETIREMENT AND RE-ELECTION – STUART CHASE

“RESOLVED THAT Mr Stuart Chase, who retires in terms of the Company’s MOI and, being eligible, offers himself for re-election as a director of the Company, be and is hereby approved.”

Mr Stuart Chase *curriculum vitae* is set out on page 7 of this Integrated Annual Report.

Explanatory note for ordinary resolution number 4

In accordance with the MOI of the Company, one-third of the non-executive directors for the time being are required to retire at each meeting and may offer themselves for re-election.

In order for this resolution to be adopted, the support of more than 50% of the voting rights exercised on this resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolutions is required.

5. ORDINARY RESOLUTION NUMBER 5 – RE-APPOINTMENT AND REMUNERATION OF AUDITORS

“RESOLVED THAT Mazars House be and is hereby re-appointed as external auditor of the Company and of the Group for the ensuing year on the recommendation of the Audit and Risk Committee of the Company.”

Explanatory Note for ordinary resolution number 5:

Ordinary resolution number 5 is proposed to approve the appointment of Mazars House as the external auditor of the Company and the Group for the financial year ending 31 December 2022 and to remain in office until the conclusion of the next AGM, and to authorise the Audit and Risk Committee to determine its remuneration.

In order for this ordinary resolution to be adopted, the support of more than 50% of the voting rights exercised on the resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolution is required.

6. ORDINARY RESOLUTION NUMBER 6 – REAPPOINTMENT OF AUDIT AND RISK COMMITTEE MEMBER – FATIMA NOORDIEN

“RESOLVED THAT Ms Fatima Noordien be and is hereby re-elected as a member of the Audit and Risk Committee and to hold office until the next AGM in terms of section 94(2) of the Companies Act.”

Ms Noordien’s *curriculum vitae* is set out on page 7 of this Integrated Annual Report.

7. ORDINARY RESOLUTION NUMBER 7 – REAPPOINTMENT OF AUDIT AND RISK COMMITTEE MEMBER – STUART CHASE

“RESOLVED THAT Mr Stuart Chase be and is hereby re-elected as a member of the Audit and Risk Committee and to hold office until the next AGM in terms of section 94(2) of the Companies Act.”

Mr Chase’s *curriculum vitae* is set out on page 7 of this Integrated Annual Report.

8. ORDINARY RESOLUTION NUMBER 8 – APPOINTMENT OF AUDIT AND RISK COMMITTEE MEMBER – JASON KRUGER

“RESOLVED THAT Mr Jason Kruger be and is hereby elected as a member of the Audit and Risk Committee and to hold office until the next AGM in terms of section 94(2) of the Companies Act.”

Mr Kruger's *curriculum vitae* is set out on page 7 of this Integrated Annual Report.

Explanatory Note for ordinary resolutions number 6 to 8

Ordinary resolutions number 6 to 8 are proposed to elect an audit committee in terms of section 94(2) of the Companies Act and the King Report on Corporate Governance for South Africa, 2016 (“King IV”).

Section 94 of the Companies Act requires that, at each AGM, shareholders of the Company elect an audit committee comprising at least three non-executive members to perform the duties and responsibilities stipulated in section 94(7) of the Companies Act and in King IV and to perform such other duties and responsibilities as may from time to time be delegated to it by the Board.

The Board is also satisfied that the proposed members meet the requirements of section 94(4) of the Companies Act and that they possess the required qualifications and experience as prescribed in Regulation 42 of the Companies Act Regulations, 2011, which requires that at least one third of the members of a company's audit committee at any particular time must have academic qualifications or experience in economics, law, corporate governance, finance, accounting, commerce, industry, public affairs or human resource management.

In order for this ordinary resolution to be adopted, the support of more than 50% of the voting rights exercised on the resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolution is required.

9. ORDINARY RESOLUTION NUMBER 9 – ENDORSEMENT OF AREIT'S REMUNERATION POLICY

“RESOLVED THAT the Company's remuneration policy, as set out in Part I of the Remuneration Report, be and is hereby endorsed.”

Explanatory Note for ordinary resolution number 9

The reason for ordinary resolution number 9 is that King IV recommends, and the JSE Listings Requirements require, that the remuneration policy of a company be tabled for a non-binding advisory vote by shareholders at each annual general meeting of the company. This vote enables shareholders to express their views on the remuneration policies adopted. The effect of ordinary resolution number 6, if passed, will be to endorse the Company's remuneration policy.

Part I of the Company's Remuneration Report is contained on pages 26 to 28 of this Integrated Annual Report.

Ordinary resolution number 9 is of an advisory nature only and failure to pass this resolution will therefore not have any legal consequences relating to existing arrangements. However, the Board will take the outcome of the vote into consideration when considering amendments to the Company's remuneration policy.

10. ORDINARY RESOLUTION NUMBER 10 – ENDORSEMENT OF THE IMPLEMENTATION OF AREIT'S REMUNERATION POLICY

"RESOLVED THAT, the implementation of the Company's remuneration policy, as set out in Part II of the Company's Remuneration Report, be and is hereby endorsed."

Explanatory Note:

The reason for ordinary resolution number 10 is that King IV recommends that the implementation report on a Company's remuneration policy be tabled for a non-binding advisory vote by shareholders at each annual general meeting of the company. This vote enables shareholders to express their views on the implementation of a company's remuneration policy. The effect of ordinary resolution number 10, if passed, will be to endorse the Company's implementation report in relation to its remuneration policy.

Part II of the Company's Remuneration Report is contained on page 28 of this Integrated Annual Report.

Ordinary resolution 10 is of an advisory nature only and failure to pass this resolution will therefore not have any legal consequences relating to existing arrangements. However, the board will take the outcome of the vote into consideration when considering amendments to the Company's remuneration policy and its implementation.

Should more than 25% of the total votes cast be against either ordinary resolution number 9 or 10, the Company will issue an announcement on the Stock Exchange News Services ("SENS") inviting shareholders who voted against the resolution(s) to meet with members of the Remuneration Committee. The process to be followed will be set out in the SENS announcement.

SPECIAL RESOLUTIONS:

11. SPECIAL RESOLUTION NUMBER 1 – GENERAL AUTHORITY TO ALLOT AND ISSUE SHARES FOR CASH

"RESOLVED THAT subject to the provisions of the Companies Act, the Listings Requirements of the JSE and the Company's MOI, as a general authority valid until the next AGM of the Company, and provided that it shall not extend past 15 months from the date of this AGM, the authorised but unissued ordinary shares of the Company be and are hereby placed under the control of the directors who are hereby authorised to allot, issue, grant options over or otherwise deal with or dispose of these shares to such persons at such times and on such terms and conditions and for such consideration whether payable in cash or otherwise, as the directors may think fit, provided that:

- the shares which are the subject of the issue for cash must be of a class already in issue, or where this is not the case, must be limited to such equity securities or rights that are convertible into a class already in issue;
- this authority shall not endure beyond the next AGM of the Company, nor shall it endure beyond 15 months from the date of this meeting;
- the shares must be issued only to public shareholders (as defined in the Listings Requirements of the JSE) and not to related parties (as defined in the Listings Requirements of the JSE);

- upon any issue of shares for cash which represent, on a cumulative basis within a financial year, 5% (five percent) of the number of shares in issue prior to that issue, the Company shall publish an announcement containing full details of the issue, (including the number of shares issued, the average discount to the weighted average traded price of the shares over the 30 days prior to the date that the price of the issue is agreed in writing between the Company and the party/(ies) subscribing for the shares and the effects of the issue on the Statement of Financial Position, net asset value per share, net tangible asset value per share, the Statement of Comprehensive Income, earnings per share, headline earnings per share, and if applicable diluted earnings per share and diluted headline earnings per share), or an explanation, including supporting information (if any), of the intended use of the funds, or any other announcements that may be required in such regard in terms of the Listings Requirements which may be applicable from time to time;
- the number of ordinary shares issued for cash shall not, in the current financial year, in aggregate, exceed 30% or 30 000 000 shares (including securities which are compulsorily convertible into shares of that class and excluding treasury shares) provided that:
 - a) any equity securities issued under the authority during the period contemplated above must be deducted from the 30 000 000 ordinary shares; and
 - b) in the event of a sub-division or consolidation of issued equity securities during the period contemplated above, the existing authority must be adjusted accordingly to represent the same allocation ratio; and
- the maximum discount at which shares may be issued is 10% of the weighted average traded price of the Company's shares over the 30 business days prior to the date that the price of the issue is determined or agreed by the directors of the Company."

Explanatory Note:

An ordinary resolution is required in terms of the Listings Requirements of the JSE in order for shareholders to place the authority to issue shares for cash under the control of the directors. A special resolution is required in terms of the Companies Act to issue more than 30% new shares. Accordingly, this resolution is proposed as a special resolution.

In order for this special resolution to be adopted, it must be approved by 75% (seventy five percent) of the voting rights exercised on special resolution 1 by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolution is required.

12. SPECIAL RESOLUTION NUMBER 2 – AUTHORITY TO ISSUE SHARES, SECURITIES CONVERTIBLE INTO SHARES OR RIGHTS THAT MAY EXCEED 30% OF THE VOTING POWER OF THE CURRENT ISSUED SHARE CAPITAL

"RESOLVED THAT the authorised but unissued shares of the Company be and are hereby placed under the control of the directors (to the extent that this is necessary in terms of the Company's MOI) and the directors be and are hereby authorised, to the extent required in terms of section 41(3) of the Companies Act, to allot and issue such number of shares in the authorised but unissued share capital of the Company as may be required for purposes of issuing shares, securities convertible into shares, or rights exercisable for shares in a transaction or series of integrated transactions notwithstanding the fact that such number of ordinary shares may have voting power equal to or in excess of 30% of the voting rights of all ordinary shares in issue immediately prior to such issue.

This authority specifically includes the authority to allot and issue any ordinary shares in the authorised but unissued share capital of the Company to any underwriter(s) of a rights or claw-back offer (whether or not such underwriter is a related party to Visual (as defined for purposes of the Listings Requirements) and/or person falling within the ambit of section 41(1) of the Companies Act, being a director, future director, prescribed officer or future prescribed officer of the Company or a person related or inter-related to the Company or related or inter-related to a director or prescribed officer of the Company or a nominee of any of the foregoing persons."

Reason for and effect of Special Resolution Number 2

The reason for special resolution number 2 is to obtain approval from the shareholders of the Company, in terms of the provisions of sections 41(1) and (3) of the Companies Act (to the extent required), to issue additional ordinary shares in the authorised but unissued share capital of the Company to enable the Company to issue shares, securities convertible into shares, or rights exercisable for shares in a transaction or series of integrated transactions notwithstanding the fact that such number of ordinary shares may have voting power equal to or in excess of 30% of the voting rights of all ordinary shares in issue immediately prior to such issue.

In order for this special resolution to be adopted, the support of at least 75% of the voting rights exercised on the resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolution is required.

13. SPECIAL RESOLUTION NUMBER 3 – NON-EXECUTIVE DIRECTORS' REMUNERATION

"RESOLVED THAT: that the fees payable to the non-executive directors for their services to the board and committees of the board for the year for a 24-month period beginning 1 August 2023 be approved as follows:

Office	Directors' Fees per person (Excluding VAT (R))
Chairman of the Board	100 000
Non-executive Directors	100 000

Explanatory Note:

Section 66(8) (read with section 66(9)) of the Companies Act provides that, to the extent permitted in the Company's MOI, the Company may pay remuneration to its directors for their services as directors provided that such remuneration may only be paid in accordance with a special resolution approved by shareholders within the previous two years. The Company's MOI does not limit, restrict or qualify the power of the Company to pay remuneration to its directors for their service as directors in accordance with section 66(9) of the Companies Act. The Remuneration Committee has considered the remuneration for non-executive directors and the Board has accepted the recommendations of the Remuneration Committee.

In order for this special resolution to be adopted, the support of at least 75% of the voting rights exercised on the resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolution is required."

14. SPECIAL RESOLUTION NUMBER 4 – GENERAL AUTHORITY TO PROVIDE FINANCIAL ASSISTANCE TO RELATED AND INTER-RELATED COMPANIES AND CORPORATIONS IN TERMS OF SECTION 45 OF THE COMPANIES ACT

"RESOLVED THAT, in terms of section 45 of the Companies Act, the shareholders of the Company hereby approve of the Company providing, at any time and from time to time during the period of 2 (two) years commencing on the date of this special resolution, any direct or indirect financial assistance as contemplated in section 45 of the Companies Act to any 1 (one) or more related or inter-related companies or corporations of the Company and/or to any 1 (one) or more members of any such related or inter-related company or corporation and/or to any 1 (one) or more persons related to any such company or corporation, provided that:

- (i) the Board may not authorise the Company to provide any financial assistance pursuant to this special resolution unless the Board meets all those requirements of section 45 of the Companies Act which it is required to meet in order to authorise the Company to provide such financial assistance;
- (ii) the Board is satisfied that:
 - immediately after providing the financial assistance, the company would satisfy the solvency and liquidity test; and
 - the terms under which the financial assistance is proposed to be given are fair and reasonable to the company; and
- (iii) such financial assistance to a recipient thereof is, in the opinion of the Board, required for the purpose of:
 - (a) meeting all or any of such recipient's operating expenses (including capital expenditure); and/or
 - (b) funding the growth, expansion, reorganisation or restructuring of the businesses or operations of such recipient; and/or
 - (c) funding such recipient for any other purpose which in the opinion of the Board is directly or indirectly in the interest of the Company."

In terms of section 45 of the Companies Act, a company is required to approve the provision of financial assistance to a company within its group by means of passing a special resolution. As part of the Company's current Group operations, it provides financial assistance to subsidiaries and other related companies in the Group.

In order for this special resolution to be adopted, the support of at least 75% of the voting rights exercised on the resolution by shareholders present or represented by proxy at the AGM and entitled to exercise voting rights on the resolution is required.

Voting Rights

Each shareholder, whether present in person or represented by proxy, is entitled to attend and vote at the AGM. On a poll, every shareholder present in person or by proxy shall have one vote for each share held by him/her.

**By order of the Board
LIGHT CONSULTING PROPRIETARY LIMITED
(REGISTRATION NUMBER 1998/025284/07)
COMPANY SECRETARY**



AREIT PROP LIMITED

(Incorporated in the Republic of South Africa)
(Registration number 2021/837953/06)
("AREIT" or "the Company")

FORM OF PROXY (for use by certificated and own name dematerialised shareholders only)

For use by certificated and "own name" registered dematerialised shareholders of the Company ("shareholders") at the Annual General Meeting ("the AGM") of aReit to be held at 10:00 on Monday, 19 June 2023 through electronic communication.

I/We (please print) _____

of (address) _____

being the holder/s of _____ ordinary shares of No Par Value in aReit,
appoint (see note 1):

1. _____ or failing him,
2. _____ or failing him,
3. the chairperson of the annual general meeting,

as my/our proxy to act for me/us and on my/our behalf at the annual general meeting which will be held for the purpose of considering, and if deemed fit, passing, with or without modification, the resolutions to be proposed thereat and at any adjournment thereof; and to vote for and/or against the resolutions and/or abstain from voting in respect of the ordinary shares registered in my/our name/s, in accordance with the following instructions (see note 2):

	Number of votes		
	For	Against	Abstain
Ordinary resolution number 1 – Presentation and acceptance of annual financial statements			
Ordinary resolution number 2 – Interim director appointment – Jason Kruger			
Ordinary resolution number 3 – Director retirement and re-election – Jacques Osse			
Ordinary resolution number 4 – Director retirement and re-election – Stuart Chase			
Ordinary resolution number 5 – Re-appointment and remuneration of auditors			
Ordinary resolution number 6 – Re-appointment of audit and risk committee member – Fatima Noordien			
Ordinary resolution number 7 – Re-appointment of audit and risk committee member – Stuart Chase			
Ordinary resolution number 8 – Appointment of audit and risk committee member – Jason Kruger			
Ordinary resolution number 9 – Endorsement of aReit's Remuneration Policy			

Ordinary resolution number 10 – Endorsement of the implementation of aReit's Remuneration Policy			
Special resolution number 1 - General authority to allot and issue shares for cash			
Special resolution number 2 - Authority to issue shares, securities convertible into shares or rights that may exceed 30% of the voting power of the current issued share capital			
Special resolution number 3 - Non-Executive directors' remuneration			
Special resolution number 4 - General authority to provide financial assistance to related and inter-related companies and corporations in terms of Section 45 of the Companies Act			

Signed at _____ on _____ 2023

Signature _____

Assisted by me (where applicable) _____

Name _____ Capacity _____

Signature _____

1. **Certificated shareholders and dematerialised shareholders with “own name” registration**

If you are a certificated shareholder or have dematerialised your shares with “own name” registration and you are unable to attend the AGM of aReit shareholders to be held at 10:00 on Monday, 19 June 2023 via electronic communication, and wish to be represented thereat, you must complete and return this form of proxy in accordance with the instructions contained herein and lodge it with, or post it to, the transfer secretaries, namely Computershare Investor Services at Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196 (Private Bag X9000, Saxonwold, 2132), so as to be received by them no later than 10:00 on Wednesday, 14 June 2023.

2. **Dematerialised shareholders other than those with “own name” registration**

If you hold dematerialised shares in aReit through a CSDP or broker other than with an “own name” registration, you must timeously advise your CSDP or broker of your intention to attend and vote at the AGM or be represented by proxy thereat, in order for your CSDP or broker to provide you with the necessary authorisation to do so, you must timeously provide your CSDP or broker with your voting instruction in order for the CSDP or broker to vote in accordance with your instruction at the AGM.

NOTES

1. This form is for use by certificated shareholders and dematerialised shareholders with "own-name" registration whose shares are registered in their own names on the voting record date, being Friday, 9 June 2023 ("**Voting Record Date**") and who wish to appoint another person to represent them at the meeting. If duly authorised, companies and other corporate bodies who are shareholders having shares registered in their own names may appoint a proxy using this form or may appoint a representative in accordance with the last paragraph below.

Other shareholders should not use this form. All beneficial holders who have dematerialised their shares through a Central Securities Depository Participant ("**CSDP**") or broker, and do not have their shares registered in their own name, must provide the CSDP or broker with their voting instructions. Alternatively, if they wish to attend the meeting in person, they should request the CSDP or broker to provide them with a letter of representation in terms of the custody agreement entered into between the beneficial owner and the CSDP or broker.

2. This proxy form will not be effective at the meeting unless received by the transfer secretaries of the Company, Computershare Investor Services at Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196 (Private Bag X9000, Saxonwold, 2132), so as to be received by them no later than 10:00 on Wednesday, 14 June 2023.
3. This proxy shall apply to all the ordinary shares registered in the name of shareholders on the Voting Record Date unless a lesser number of shares are inserted.
4. A shareholder may appoint one person as his proxy by inserting the name of such proxy in the space provided. Any such proxy need not be a shareholder of the Company. If the name of the proxy is not inserted, the Chairman of the meeting will be appointed as proxy. If more than one name is inserted, then the person whose name appears first on the form of proxy and who is present at the meeting will be entitled to act as proxy to the exclusion of any persons whose names follow. The proxy appointed in this proxy form may delegate the authority given to him in this proxy by delivering to the Company, in the manner required by these instructions, a further proxy form which has been completed in a manner consistent with the authority given to the proxy of this proxy form.
5. Unless revoked, the appointment of proxy in terms of this proxy form remains valid until the end of the meeting even if the meeting or a part thereof is postponed or adjourned.
6. If
 - 6.1 a shareholder does not indicate on this instrument that the proxy is to vote in favour of or against or to abstain from voting on any resolution; or
 - 6.2 the shareholder gives contrary instructions in relation to any matter; or
 - 6.3 any additional resolution/s which are properly put before the meeting; or
 - 6.4 any resolution listed in the proxy form is modified or amended, the proxy shall be entitled to vote or abstain from voting, as he thinks fit, in relation to that resolution or matter. If, however, the shareholder has provided further written instructions which accompany this form and which indicate how the proxy should vote or abstain from voting in any of the circumstances referred to in 6.1 to 6.4, then the proxy shall comply with those instructions.
7. If this proxy is signed by a person (signatory) on behalf of the shareholder, whether in terms of a power of attorney or otherwise, then this proxy form will not be effective unless:
 - 7.1 it is accompanied by a certified copy of the authority given by the shareholder to the signatory; or
 - 7.2 the Company has already received a certified copy of that authority.
8. The Chairman of the meeting may, at his discretion, accept or reject any proxy form or other written appointment of a proxy which is received by the Chairman prior to the time when the meeting deals with a resolution or matter to which the appointment of the proxy relates, even if that appointment of a proxy has not been completed and/or received in accordance with these instructions. However, the Chairman shall not accept any such appointment of a proxy unless the Chairman is satisfied that it reflects the intention of the shareholder appointing the proxy.
9. Any alterations made in this form of proxy must be initialled by the authorised signatory/ies.

10. This proxy form is revoked if the shareholder who granted the proxy:
 - 10.1 delivers a copy of the revocation instrument to the Company and to the proxy or proxies concerned, so that it is received by the Company by no later than 10:00 on Wednesday, 14 June 2023; or
 - 10.2 appoints a later, inconsistent appointment of proxy for the meeting; or
 - 10.3 attends the meeting in person.
11. If duly authorised, companies and other corporate bodies who are shareholders of the Company having shares registered in their own name may, instead of completing this proxy form, appoint a representative to represent them and exercise all of their rights at the meeting by giving written notice of the appointment of that representative. This notice will not be effective at the meeting unless it is accompanied by a duly certified copy of the resolution/s or other authorities in terms of which that representative is appointed and is received by the transfer secretaries of the Company, Computershare Investor Services at Rosebank Towers, 15 Biermann Avenue, Rosebank, 2196 (Private Bag X9000, Saxonwold, 2132), not later than 10:00 on Wednesday, 14 June 2023.

Summary of rights established by section 58 of the Companies Act, 71 of 2008 ("Companies Act"), as required in terms of subsection 58(8)(b)(i)

1. A shareholder may at any time appoint any individual, including a non-shareholder of the Company, as a proxy to participate in, speak and vote at a shareholders' meeting on his or her behalf (section 58(1)(a)), or to give or withhold consent on behalf of the shareholder to a decision in terms of section 60 (shareholders acting other than at a meeting) (section 58(1)(b)).
2. A proxy appointment must be in writing, dated and signed by the shareholder and remains valid for one year after the date on which it was signed or any longer or shorter period expressly set out in the appointment, unless it is revoked in terms of paragraph 6.3 or expires earlier in terms of paragraph 10.4 below (section 58(2)).
3. A shareholder may appoint two or more persons concurrently as proxies and may appoint more than one proxy to exercise voting rights attached to different securities held by the shareholder (section 58(3)(a)).
4. A proxy may delegate his or her authority to act on behalf of the shareholder to another person, subject to any restriction set out in the instrument appointing the proxy ("proxy instrument") (section 58(3)(b)).
5. A copy of the proxy instrument must be delivered to the Company, or to any other person acting on behalf of the Company, before the proxy exercises any rights of the shareholder at a shareholders' meeting (section 58(3)(c)) and in terms of the memorandum of incorporation ("MOI") of the Company before the commencement of the meeting.
6. Irrespective of the form of instrument used to appoint a proxy:
 - 6.1 the appointment is suspended at any time and to the extent that the shareholder chooses to act directly and in person in the exercise of any rights as a shareholder (section 58(4)(a));
 - 6.2 the appointment is revocable unless the proxy appointment expressly states otherwise (section 58(4)(b)); and
 - 6.3 if the appointment is revocable, a shareholder may revoke the proxy appointment by cancelling it in writing or by making a later, inconsistent appointment of a proxy, and delivering a copy of the revocation instrument to the proxy and to the Company (section 58(4)(c)).
7. The revocation of a proxy appointment constitutes a complete and final cancellation of the proxy's authority to act on behalf of the shareholder as of the later of the date stated in the revocation instrument, if any, or the date on which the revocation instrument was delivered as contemplated in paragraph 6.3 above (section 58(5)).
8. If the proxy instrument has been delivered to a Company, as long as that appointment remains in effect, any notice required by the Companies Act or the Company's MOI to be delivered by the Company to the shareholder must be delivered by the Company to the shareholder (section 58(6)(a)), or the proxy or proxies, if the shareholder has directed the Company to do so in writing and paid any reasonable fee charged by the Company for doing so (section 58(6)(b)).
9. A proxy is entitled to exercise, or abstain from exercising, any voting right of the shareholder without direction, except to the extent that the MOI or proxy instrument provides otherwise (section 58(7)).

10. If a Company issues an invitation to shareholders to appoint one or more persons named by the Company as a proxy, or supplies a form of proxy instrument:
- 10.1 the invitation must be sent to every shareholder entitled to notice of the meeting at which the proxy is intended to be exercised (section 58(8)(a));
 - 10.2 the invitation or form of proxy instrument supplied by the Company must:
 - 10.2.1 bear a reasonably prominent summary of the rights established in section 58 of the Companies Act (section 58(8)(b)(i));
 - 10.2.2 contain adequate blank space, immediately preceding the name(s) of any person(s) named in it, to enable a shareholder to write the name, and if desired, an alternative name of a proxy chosen by the shareholder (section 58(8)(b)(ii)); and
 - 10.2.3 provide adequate space for the shareholder to indicate whether the appointed proxy is to vote in favour of or against any resolution(s) to be put at the meeting, or is to abstain from voting (section 58(8)(b)(iii));
 - 10.3 the Company must not require that the proxy appointment be made irrevocable (section 58(8)(c)); and
 - 10.4 the proxy appointment remains valid only until the end of the meeting at which it was intended to be used, subject to paragraph 7 above (section 58(8)(d)).



BROAD-BASED BLACK ECONOMIC EMPOWERMENT (B-BBEE) ANNUAL COMPLIANCE REPORT

Pursuant to section 13G(2) of the Broad-Based Economic Empowerment Amendment Act No. 46 of 2013, and in accordance with the Listings Requirements of the JSE Limited, an extract of the annual compliance report of aReit Prop Limited (the "**Company**"), as submitted to the Broad-Based Black Economic Empowerment Commission, is included below.

The Company's 2021 B-BBEE certificate (being an affidavit due to the Company having no turnover for the period from incorporation to the period ended 31 December 2021, is available on the Company's website at www.areitprop.co.za.

BROAD-BASED BLACK ECONOMIC EMPOWERMENT COMMISSION FORM: B-BBEE 1 COMPLIANCE OF REPORT BY SPHERE OF GOVERNMENT, PUBLIC ENTITIES, ORGANS OF STATE OR COMPANY LISTED ON THE JOHANNESBURG STOCK EXCHANGE

(in terms of Section 13G (1) and 13G (92) of the Act)

SECTION A: DETAILS OF ENTITY

Name of Entity/Organisation:	REIT PROP LIMITED
Registration number:	2021/837953/06
5 Provident South Street Parow Cape Town Western Cape, 7500	
Telephone number:	+27(72) 592 4558
Email address:	abdul@areitprop.co.za
Indicate Type of Entity/Organisation:	Public entity listed on the JSE Limited
Industry/Sector:	Investing in leasehold rights to earn fixed rentals
Relevant Code of Good Practice:	Generic Code
Name of verification agency:	Not yet appointed
Name of Technical Signatory:	Abdul Ismail

SECTION B: INFORMATION AS VERIFIED BY THE BROAD-BASED BLACK ECONOMIC EMPOWERMENT VERIFICATION PROFESSIONAL AS PER SCORECARDS

B-BBEE Elements	Target Score	Bonus Points	Actual Score Achieved
Ownership	N/A	N/A	N/A
Management Control	N/A	N/A	N/A
Employment Equity	N/A	N/A	N/A
Skills Development	N/A	N/A	N/A
Preferential Procurement	N/A	N/A	N/A
Enterprise Development	N/A	N/A	N/A
Enterprise and Supplier Development*	N/A	N/A	N/A
Socio Economic Development	N/A	N/A	N/A
Total Score	N/A	N/A	N/A
Priority Elements Achieved*	N/A	N/A	N/A
Empowering Supplier Status	N/A	N/A	N/A
Final B-BBEE Status Level	N/A	N/A	N/A

Due to this being the first year of operation of the Company, a Verification Agent has not been appointed.

SECTION C: FINANCIAL REPORT

1. BASIC ACCOUNTING DETAILS:

- Accounting officer's name: Abdul Ismail
- Address: 5 Provident South Street, Parow, Cape Town, Western Cape, 7500
- Accounting policy: Monthly Management Accounts
- Has the audited financial statements and annual report been approved by the entity? **Yes**

2. PLEASE ATTACH THE FOLLOWING:

- COPY OF THE ANNUAL FINANCIAL STATEMENT INCLUDING BALANCE SHEET AND INCOME AND EXPENDITURE REPORT
Attached. The audited annual financial statements of the Company are also available on the Company's website at www.aretprop.co.za.
- ANNUAL REPORT
Attached

Entity Annual Turnover: RNil

- * This is the annual turnover for the relevant period (2021 financial year) used in the above B-BBEE verified information for the public company listed on the JSE.

COMPANY INFORMATION

Business Address and Registered office

5 Provident South Street
Parow
Cape Town, 7500
(PO Box 6611, Roggebaai, Cape Town, 8012)

Company Secretary

Light Consulting Proprietary Limited
(Registration number 1998/025284/07)
20 Stirrup Lane
Woodmead Office Park
Woodmead, 2191
(Suite # 439, Private Bag X29,
Gallo Manor, 2052)

Sponsor

AcaciaCap Advisors Proprietary Limited
Registration number 2006/033725/07)
20 Stirrup Lane
Woodmead Office Park
Woodmead, 2191
(Suite # 439, Private Bag X29, Gallo Manor, 2052)

Group Auditors

Mazars
(Practice number: 900222)
Mazars House, Rialto Road
Grand Moorings Precinct
Century City, 7441
(PO Box 134, Century City 7446)

Transfer Secretaries

Computershare Investor Services Proprietary Limited
(Registration number 2000/007239/07)
15 Biermann Avenue
Rosebank, 2196
(Private Bag X9000, Saxonwold, 2132)

Group Bankers

Standard Bank of South Africa
Standard Bank Centre
7th Floor, Heerengracht
Adderley Street
Cape Town, 8001
(PO Box 57, Cape Town, 8001)

Attorneys

Jordaan & Ferreira Inc.
(Registration number 2011/009809/21)
206 Pinehurst
Somerset Links Office Park
De Beers Road
Somerset West
(PO Box 3770, Somerset West, 7129)

Independent Property Valuer

Ryle Valuation Services Proprietary Limited
Registration number 2016/198300/07)
(SACPVP No: 3395)
18 Holding Road
Benoni Orchards
Benoni
(Postnet Suite 58, Private Bag X5,
Aston Manor, 1630)

Place and date of incorporation

Johannesburg 9 September 2021